STATE BUDGET

2025-26

SOUTH AUSTRALIA

Government of South Australia

Mid-Year Budget Review

STATE BUDGET
2025-26

ACKNOWLEDGEMENT OF COUNTRY

We acknowledge Aboriginal people as the state's first peoples, nations and Traditional Owners of South Australian land and waters. We recognise that their unique cultural heritage, customs, spiritual beliefs and relationship with the land are of ongoing importance today, and we pay our respects to Elders past, present and emerging leaders of the future.

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Government
of South Australia

Mid-Year Budget Review

2025-26

Presented by
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Chapter 1: 2025-26 budget position and fiscal outlook

Overview

The 2025-26 Mid-Year Budget Review (MYBR) responds to key challenges that have arisen since the 2025-26 Budget, while continuing to demonstrate the government's commitment to fiscal discipline. Funding has been provided to respond to the algal bloom event, support important sectors of the economy and provide further investment in the key portfolios of health and child protection.

The 2025-26 MYBR also provides for South Australia's whole of government response to the Royal Commission into Domestic, Family and Sexual Violence.

While the need to respond to these key issues has reduced projected surpluses in 2025-26 and 2026-27, non-financial public sector (NFPS) net debt is only marginally higher by the end of the forward estimates compared to estimates in the 2025-26 Budget. Surpluses continue to be forecast in all years and the NFPS net debt to revenue ratio at 30 June 2029 is unchanged compared to budget estimates.

In total, the 2025-26 MYBR provides $964 million over four years for new expenditure initiatives and revenue measures. Key initiatives funded in the MYBR include:

- $225 million over two years to support pressures being experienced in the delivery of health services
- $162.5 million over five years to deliver a comprehensive package of measures in response to the algal bloom event, funded in partnership with the Commonwealth Government
- $152 million over four years (and $674 million over ten years) to respond to the recommendations of the Royal Commission into Domestic, Family and Sexual Violence
- $150 million over two years to support the cost of children and young people in out of home care
- $92.5 million in 2025-26 to support Nyrstar's plans to put its smelter operations on a sustainable footing, funded in partnership with the Commonwealth Government
- $38.6 million in 2025-26 to support the transition of the Bedford group to new ownership, funded in partnership with the Commonwealth Government.

A list of all initiatives by agency is provided in Appendix A.

State taxation revenue estimates have been revised up by $88 million in 2025-26 and by a further $284 million over the three years to 2028-29, mainly reflecting revisions to conveyance duty revenue. Conveyance duty revenue has been revised up by $63 million in 2025-26 and by a further $199 million over the three years to 2028-29 reflecting higher than expected growth in residential property prices.

Goods and Services Tax (GST) grant revenue estimates have been revised up by $25 million in 2025-26 and by a further $300 million over the three years to 2028-29 largely reflecting the impact of an upward revision to South Australia's population share in the Commonwealth's 2024-25 Final Budget Outcome, which flows through to future years. No changes to forecasts of the national GST pool have been included in the 2025-26 MYBR.

Compared with the 2025-26 Budget estimates, NFPS net debt is expected to be $794 million lower at 30 June 2026. By 30 June 2029 NFPS net debt is estimated to be $48.7 billion, an increase of $233 million compared with the 2025-26 Budget estimates. The NFPS net debt to revenue ratio at 30 June 2029 is expected to be 136.7 per cent, unchanged compared to projections at budget time.

Interest expenses are lower as a result of lower projected interest rates than assumed at the time of the 2025-26 Budget. General government sector interest expense is around $35 million per annum on average lower than estimated in the 2025-26 Budget.

South Australia's short-term economic forecasts have been revised upwards since the 2025-26 Budget reflecting current strong economic conditions, particularly for employment and domestic spending. Longer-term forecasts remain unchanged from budget. Gross State Product (GSP) rose by 1.0 per cent in 2024-25 and is forecast to grow by 2¼ per cent in 2025-26.

Labour market conditions in South Australia continue to be strong. Employment rose by 1.4 per cent in 2024-25 and is forecast to grow by 2½ per cent in 2025-26.

Adelaide's CPI rose by 2.4 per cent in 2024-25 and is forecast to grow by 3 per cent in 2025-26. Growth in CPI is forecast to decline to 2½ per cent by 2027-28, the midpoint of the RBA's target range.

Fiscal targets

The government is committed to the fiscal targets set out in table 1.1.

Table 1.1: Fiscal targets

Target 1	Achieve a net operating surplus in the general government sector every year.
Target 2	Limit general government operating expenditure growth to trend growth in household income.
Target 3	Achieve a level of net debt that is sustainable over the forward estimates.

Underpinning the three main fiscal targets, the government also commits that:

- the operations of public corporations that cannot be paid for from their own revenue streams will be funded from the budget (consistent with the government's obligations under the Intergovernmental Agreement on National Competition Policy)
- the defined benefit unfunded superannuation liability will be fully funded by 2034.

Table 1.2 provides the outlook for the fiscal targets based on 2025-26 MYBR estimates.

Table 1.2: Fiscal targets outlook — 2025-26 MYBR estimates

	2025-26 MYBR	2026-27 Estimate	2027-28 Estimate	2028-29 Estimate
Target 1: net operating balance surplus				
Target	Achieve a net operating surplus every year			
2025-26 MYBR estimate ($m)	**80**	**187**	**394**	**287**
Target 2: operating expense growth				
Target (%)	Average growth limited to trend growth in household income (4% per annum)			
2025-26 MYBR estimate[(a)]				
Annual (%)	**5.0%**	**2.3%**	**1.3%**	**2.3%**
Average (%)	Average growth 2024-25 to 2028-29 of 2.7% per annum			
Target 3: achieve a level of net debt that is sustainable over the forward estimates	**77.3%**	**88.4%**	**100.8%**	**109.7%**
	(GGS net debt to revenue ratio)			
	104.1%	**115.9%**	**125.8%**	**136.7%**
	(NFPS net debt to revenue ratio)			

(a) Reflects nominal increases.

Target 1 reflects the government's commitment to funding operating expenditures from operating revenues. The 2025-26 MYBR projects net operating surpluses in the general government sector in 2025-26 and over the forward estimates. These surpluses are lower than the levels forecast in the 2025-26 Budget, particularly in 2025-26 and 2026-27 reflecting the response measures for immediate challenges including the algal bloom event, support for Nyrstar's plans to modernise its smelter operations in Port Pirie and supporting the transition of the Bedford group to new ownership.

Target 2 limits the growth in operating expenditure to maintain a pattern of sustainable spending growth having regard to trend income growth, irrespective of the annual growth in revenues. Average operating expenditure growth over four years is projected to be 2.7 per cent per annum, below expected trend household income growth of 4 per cent per annum.

Target 3 requires the maintenance of reasonable debt levels that allows for sustainable borrowings for investment in key infrastructure without placing undue burdens on future generations. While debt has increased across the forward estimates compared to levels forecast in the 2025-26 Budget, interest costs have reduced. The NFPS net debt to revenue ratio at 30 June 2029 is unchanged compared to budget.

Fiscal outlook

Table 1.3 shows the movement in the key fiscal indicators for the general government sector since the 2025-26 Budget.

Table 1.3: General government fiscal outlook — Budget and Mid-Year Budget Review ($million)

	2025-26	2026-27	2027-28	2028-29
Net operating balance				
Budget	179	369	458	315
MYBR	**80**	**187**	**394**	**287**
Change since 2025-26 Budget	-99	-183	-63	-27
Net lending				
Budget	-2 443	-3 502	-3 604	-2 986
MYBR	**-2 176**	**-3 927**	**-3 692**	**-2 912**
Change since 2025-26 Budget	267	-425	-88	73
Net debt				
Budget	25 201	28 838	33 303	37 031
MYBR	**24 530**	**28 769**	**33 423**	**37 115**
Change since 2025-26 Budget	-671	-69	120	84
Net debt to revenue ratio (%)				
Budget	80.3%	89.7%	101.2%	110.0%
MYBR	**77.3%**	**88.4%**	**100.8%**	**109.7%**
Change since 2025-26 Budget	-3.0%	-1.3%	-0.5%	-0.3%
Unfunded superannuation				
Budget	5 945	5 410	4 824	4 186
MYBR	**5 833**	**5 306**	**4 731**	**4 105**
Change since 2025-26 Budget	-112	-103	-93	-81

Note: Totals may not add due to rounding.

A general government net operating balance surplus is forecast in 2025-26 and across the forward estimates.

The general government net operating balance estimate for 2025-26 is lower compared to the forecast in the 2025-26 Budget, largely reflecting the response measures for the algal bloom event, support for the transformation of key South Australian businesses including Nyrstar and Bedford, and further investment in the government's provision of health and child protection services.

Compared to the 2025-26 Budget, general government net debt is expected to be $671 million lower at 30 June 2026 as a result of the improved 2024-25 budget outcome compared to projections at the time of the 2025-26 Budget. At 30 June 2029, net debt in the general government sector is estimated to be $37.1 billion, an increase of $84 million compared to the forecast at the time of the 2025-26 Budget.

The decrease in the unfunded superannuation liability since the 2025-26 Budget is predominantly due to higher than expected returns in 2024-25. Further details on the unfunded superannuation liability are provided later in Chapter 1.

The following table provides operating statement details for the general government sector for 2025-26 and the following three years.

Table 1.4: General government sector operating statement — 2025-26 to 2028-29 ($million)

	2025-26 Budget	2025-26 MYBR	2026-27 Estimate	2027-28 Estimate	2028-29 Estimate
Revenue					
Taxation revenue	7 285	7 373	7 639	7 914	8 199
Grants					
GST revenue grants	9 529	9 554	9 864	9 834	9 950
Other grants	8 410	8 428	8 689	8 999	9 126
Sales of goods and services	3 652	3 691	3 781	3 894	4 001
Interest income	431	434	419	422	429
Dividend and income tax equivalent income	316	400	343	287	270
Other	1 746	1 834	1 811	1 824	1 851
Total revenue	**31 369**	**31 713**	**32 545**	**33 174**	**33 824**
less **Expenses**					
Employee expenses	11 418	11 450	11 710	12 041	12 411
Superannuation expenses					
Superannuation interest cost	271	271	245	221	195
Other superannuation expenses	1 362	1 368	1 396	1 434	1 476
Depreciation and amortisation	1 666	1 775	1 859	1 917	1 986
Interest expenses	1 619	1 590	1 848	2 100	2 408
Other property expenses	—	—	—	—	—
Other operating expenses	10 351	10 487	10 799	10 647	10 662
Grants	4 503	4 692	4 502	4 419	4 398
Total expenses	**31 190**	**31 633**	**32 359**	**32 780**	**33 537**
equals **Net operating balance**	**179**	**80**	**187**	**394**	**287**
Net operating result	**179**	**80**	**187**	**394**	**287**
plus **Other economic flows**	**264**	**285**	**417**	**394**	**56**
equals **Comprehensive result — total change in net worth**	**443**	**365**	**604**	**788**	**344**
Net operating balance	**179**	**80**	**187**	**394**	**287**
less **Net acquisition of non-financial assets**					
Purchases of non-financial assets	4 629	4 430	6 043	6 094	5 417
less Sales of non-financial assets	341	398	69	91	231
less Depreciation	1 666	1 775	1 859	1 917	1 986
plus Change in inventories	—	—	—	—	—
plus Other movements in non-financial assets	—	—	—	—	—
equals **Total net acquisition of non-financial assets**	**2 622**	**2 256**	**4 114**	**4 087**	**3 200**
equals **Net lending/borrowing**	**-2 443**	**-2 176**	**-3 927**	**-3 692**	**-2 912**

Note: Totals may not add due to rounding.

The following tables outline changes to the net operating balance and net lending since the 2025-26 Budget classified as policy or parameter items. Policy items are decisions taken by the government since the 2025-26 Budget. Parameter items are generally variations outside the government's control.

Table 1.5: Net operating balance — policy and parameter variations since the 2025-26 Budget ($million)

	2025-26	2026-27	2027-28	2028-29
Estimate at 2025-26 Budget	**179**	**369**	**458**	**315**
Parameter and other variations to 2025-26 MYBR				
Revenue — taxation	90	92	95	98
Revenue — other	131	281	173	55
Operating expenses	81	-362	-251	-103
Net effect of parameter and other variations	**302**	**11**	**17**	**50**
Policy measures to 2025-26 MYBR				
Revenue measures — taxation	-1	-1	—	—
Revenue measures — other	-9	-2	—	—
Revenue offsets — taxation	—	—	—	—
Revenue offsets	134	7	3	1
Revenue investing offsets	—	2	—	—
Operating expenses	-525	-200	-83	-78
Operating savings	—	—	—	—
Net effect of policy measures	**-401**	**-194**	**-81**	**-77**
Estimate at 2025-26 MYBR	**80**	**187**	**394**	**287**

Note: Totals may not add due to rounding.

Table 1.6: Net lending policy and parameter variations since the 2025-26 Budget ($million)

	2025-26	2026-27	2027-28	2028-29
Estimate at 2025-26 Budget	**-2 443**	**-3 502**	**-3 604**	**-2 986**
Net effect of operating variations to 2025-26 MYBR	**-99**	**-183**	**-63**	**-27**
Parameter variations[(a)]				
Investing expenditure	249	-357	-163	-9
Asset sales	51	4	27	—
Depreciation	109	121	114	111
Total parameter investing variations	**409**	**-232**	**-22**	**101**
Policy variations to the 2025-26 MYBR[(a)]				
Investing expenditure	-50	-11	-2	-1
Investing savings	—	—	—	—
Asset sales	6	—	—	—
Net effect of policy measures to 2025-26 MYBR	**-44**	**-11**	**-2**	**-1**
Total investing variations[(a)]	**365**	**-243**	**-25**	**101**
Estimate at 2025-26 MYBR	**-2 177**	**-3 928**	**-3 692**	**-2 912**

Note: Totals may not add due to rounding.

(a) Investing variations relate to the movements in the net acquisition on non-financial assets.

Table 1.7: Major revenue and expense variations (parameter and other only) since the 2025-26 Budget ($million)

	2025-26	2026-27	2027-28	2028-29
Revenue — taxation				
Payroll tax	10	11	11	12
Conveyances	63	65	66	68
Land tax — private	—	—	—	—
Land tax — public	—	—	—	—
Other property tax	—	1	—	—
Insurance taxes	7	7	7	7
Gambling taxes	8	8	8	8
Motor vehicle taxes	2	2	2	2
Other	—	-1	—	—
Total taxation revenue	**90**	**92**	**95**	**98**
Revenue — other				
GST revenue grants	25	61	91	148
Commonwealth specific purpose and national partnership grants				
SPP grants	-170	-1	1	3
NP grants	13	112	93	37
Other contributions and grants	41	43	15	-2
Sales of goods and services	48	32	22	27
Dividends and income tax equivalents	85	39	2	-101
Interest income	2	-43	-49	-53
Royalties	10	4	1	—
Other revenue	77	34	-3	-5
Total other revenue	**131**	**281**	**173**	**55**
Operating expenses				
Nominal superannuation interest expense	—	5	4	4
Interest expense	29	28	45	38
Depreciation	-109	-121	-114	-111
Carryovers (net of provision for slippage)	—	-88	-21	-3
Other variations	161	-187	-165	-30
Total expenses	**81**	**-362**	**-251**	**-103**
Investing variations				
Depreciation	109	121	114	111
Carryovers (net of provision for slippage)	-48	-27	-49	-53
Other variations	349	-326	-87	43
Total Investing variations	**409**	**-232**	**-22**	**101**

Note: Totals may not add due to rounding.

Operating revenue

Policy measures

A summary of total revenue measures since the 2025-26 Budget is shown in Table 1.8.

Table 1.8: Revenue measures ($million)

	2025-26 MYBR	2026-27 Estimate	2027-28 Estimate	2028-29 Estimate
Revenue — taxation measures				
Across Government				
Algal bloom response				
50 per cent discount on light boat trailer registrations	-1.3	-0.9	—	—
Total revenue measures — taxation	**-1.3**	**-0.9**	**—**	**—**
Revenue — non-taxation measures				
Across Government				
Algal bloom response				
Licensing fee relief	-5.0	—	—	—
Free access to coastal parks	-1.2	—	—	—
Free access to boat ramps	-0.1	—	—	—
50 per cent discount on recreational boat registrations	-2.9	-2.1	—	—
Total revenue measures — non-taxation	**-9.2**	**-2.2**	**—**	**—**
Total revenue measures in the 2025-26 MYBR	**-10.5**	**-3.1**	**—**	**—**

Note: Totals may not add due to rounding.

Parameter and other variations

Taxation revenue

Total taxation revenues have been revised up in all years since the 2025-26 Budget mainly due to revisions to conveyance duty revenue shown in Table 1.7.

Conveyance duty receipts have been revised up in all years mainly reflecting the impact of stronger than expected growth in residential property prices. Residential property prices are expected to grow by around 5 per cent in 2025-26, before returning to long-term trend growth of 3 per cent from 2026-27.

Payroll tax collections have been revised up in all years reflecting the flow-through impact of higher than expected revenue in 2024-25, which has been supported by stronger collections to date.

Land tax revenue estimates are consistent with 2025-26 Budget forecasts.

Gambling tax revenues have been revised up in all years reflecting higher than estimated gaming machine taxation revenue to date in 2025-26, which flows through to future years as a base effect.

Insurance tax revenues have been revised up in all years due to higher than estimated growth in duty from general insurance premiums to date in 2025-26, which flows through to future years as a base effect.

GST revenue grants

GST grant revenue estimates have been revised up in all years mainly reflecting the impact of a higher than estimated population share for South Australia in the Commonwealth's 2024-25 Final Budget Outcome, which flows through to future years as a base effect. No changes to forecasts of the national GST pool have been included in the 2025-26 Mid-Year Budget Review.

Commonwealth specific purpose and national partnership grants

Commonwealth Government ongoing tied grants for specific purposes have been revised down in 2025-26 primarily reflecting a reclassification of Commonwealth funding received under the *Health Reform — Additional Funding Support for Hospital and Related Health Services 2025-26 Agreement* which is now recognised as National Partnership (NP) funding.

Commonwealth National Partnership (NP) grant estimates have been revised up in all years.

The upward revision in 2025-26 mainly reflects the reclassification of Commonwealth funding under the *Health Reform — Additional Funding Support for Hospital and Related Health Services 2025-26 Agreement* and is largely offset by a pull-forward of Commonwealth funding from 2025-26 to 2024-25 for Financial Assistance Grants (passed on to local government) as well as the expected timing of Commonwealth Government revenue for a range of transport infrastructure projects.

The upward revision in 2026-27 reflects the revised timing of Commonwealth Government revenue for several projects including the Flinders Medical Centre Upgrade and Expansion, the South Australian Comprehensive Cancer Network and the Curtis Road and Heaslip Road intersection upgrade.

The upward revision in 2027-28 largely reflects the expected timing of payments related to past events under the Disaster Recovery Funding Arrangements.

Other contributions and grants

Revenue from other contributions and grants has been revised up in 2025-26 and 2026-27, with estimates in future years broadly consistent with 2025-26 Budget forecasts. Upward revisions in 2025-26 largely reflect additional Commonwealth funding associated with Aged Care Assessment Services as well as the revised timing of Commonwealth funding for the South Australian Riverland Floodplains Integrated Infrastructure Program and netball stadium upgrade works at Mile End. The upward revision in 2026-27 is mainly due to the revised timing of Commonwealth funding for the Port Bonython Hydrogen Hub project.

Sales of goods and services

Sales of goods and services revenue has been revised up in all years mainly reflecting higher land services revenue due to stronger than expected property market conditions as well as the reclassification of International Education Services schools revenue from 'other revenue'.

Dividend and income tax equivalent income

Dividends and income tax equivalent revenue has been revised up in 2025-26 and 2026-27 and down in 2028-29. The upward revisions in 2025-26 and 2026-27 reflect the revised timing of revenue relating to augmentation and third party works while the downward revision in 2028-29 reflects revised forecasts for SA Water's business conditions.

Interest income

Interest income is estimated using projections of interest rates applicable to government financial assets. Interest income is broadly in line with expectations in 2025-26 and has been revised down from 2026-27 largely due to projected lower interest rates on cash balances compared to forecasts in the 2025-26 Budget.

Interest income and expense projections are set at a point in time. It is noted that market expectations of interest rates may change subsequently depending on a range of economic data.

Royalties

Royalty revenue estimates have been revised up in 2025-26 and are broadly consistent with 2025-26 Budget forecasts in future years. The revised forecast for royalty revenue across the forward estimates assumes that upward revisions in mineral royalties are largely offset by downward revisions to petroleum royalties.

Other revenue

Other revenue has been revised up in 2025-26 and 2026-27 and is broadly consistent with 2025-26 Budget forecasts in future years. The upward revision in 2026-27 is mainly due to changes to the profile of external contributions from industry for the Northern Water Project.

General government sector revenue

Forward estimates of general government revenues are shown in table 1.9.

Table 1.9: General government revenue — forward estimates ($million)

	2025-26 Budget	2025-26 MYBR	2026-27 Estimate	2027-28 Estimate	2028-29 Estimate
Revenue — taxation					
Payroll tax	2 048	2 058	2 167	2 283	2 404
Conveyances	1 625	1 688	1 749	1 804	1 860
Land tax — private	655	655	675	695	716
Land tax — public	254	254	260	266	272
Other property taxes	298	299	296	304	311
Insurance taxes	734	741	773	805	838
Gambling tax	671	679	692	703	714
Motor vehicle taxes	979	980	1 008	1 035	1 063
Other	20	20	19	21	21
Total taxation revenue	**7 285**	**7 373**	**7 639**	**7 914**	**8 199**
Revenue — other					
GST revenue grants[(a)]	9 529	9 554	9 864	9 834	9 950
Commonwealth specific purpose and national partnership grants					
SPP grants	5 104	4 934	5 373	5 643	5 945
NP grants	2 449	2 591	2 422	2 497	2 336
Other contributions and grants	857	903	894	859	845
Sales of goods and services	3 652	3 691	3 781	3 894	4 001
Dividends and income tax equivalents	316	400	343	287	270
Interest income	431	434	419	422	429
Royalties	457	467	458	436	441
Other revenue	1 289	1 367	1 353	1 388	1 410
Total other revenue	**24 084**	**24 340**	**24 907**	**25 259**	**25 626**
Total revenue	**31 369**	**31 713**	**32 545**	**33 174**	**33 824**
Total revenue % change on previous year					
Total revenue nominal growth (%)		4.3	2.6	1.9	2.0
Total revenue real growth (%)		1.3	-0.1	-0.6	-0.5

Note: Totals may not add due to rounding.

(a) Includes entitlements to payments associated with the 'no worse off' guarantee as part of the Commonwealth Government changes to the GST distribution.

Expenditure

Policy measures

This section provides a summary of expenditure initiatives announced since the 2025-26 Budget. A list of all policy measures and associated offsets is shown in Appendix A.

General government sector

The MYBR contains operating and investing expenditure initiatives in the general government sector of $951 million over four years. Some of these measures are funded in partnership with the Commonwealth Government, including the response measures to the algal bloom event as well as the support provided for Nyrstar's plans to modernise its smelter operations in Port Pirie and to transition the Bedford group to new ownership. The total value of initiatives are summarised, by agency, in tables 1.12 and 1.13.

Table 1.10: General government expenditure initiatives ($million)

	2025-26 MYBR	2026-27 Estimate	2027-28 Estimate	2028-29 Estimate
Operating expenditure initiatives	-524.7	-200.1	-83.4	-78.1
Revenue offsets	134.5	7.4	2.7	0.8
Operating savings	—	—	—	—
Total operating initiatives	**-390.3**	**-192.7**	**-80.7**	**-77.4**
Investing expenditure initiatives	-50.2	-11.1	-2.3	-0.6
Revenue offsets	—	2.2	—	—
Investing savings	—	—	—	—
Asset sales	6.0	—	—	—
Total investing initiatives	**-44.2**	**-8.9**	**-2.3**	**-0.6**

Note: Totals may not add due to rounding.

Key general government sector operating and investing expenditure initiatives include:

- $225 million over two years to support pressures being experienced in the delivery of health services
- $152 million over four years (and $674 million over ten years) to respond to the recommendations of the Royal Commission into Domestic, Family and Sexual Violence, to better coordinate and uplift services to create a more sustainable system
- $150 million over two years to support the cost of children and young people in out of home care
- $149.0 million over five years, in partnership with the Commonwealth Government, as part of a comprehensive response package to the algal bloom event affecting parts of South Australia's coastline. A further $13.6 million over two years of taxation and revenue measures is also provided. Table 1.11 provides a summary of the response package.

Table 1.11: Algal bloom response ($000s)

	2025-26 MYBR	2026-27 Estimate	2027-28 Estimate	2028-29 Estimate	Total
Protecting our way of life Includes community hotline, public information, beach clean-up, free boat ramps and access to coastal parks.	-28 792	-524	—	—	-29 316
Pursuing environmental resilience[(a)] Includes detection, testing, impact assessments, establishment of the Office for Algal Bloom research and monitoring, and reef restoration partnerships.	-25 450	-17 318	-4 332	-2 000	-51 100
Strengthening our economy and industries Includes licence holder fee relief and grant support, small business grants, tourism vouchers, and dining cashback.	-62 701	-1 278	-364	—	-64 343
Fish Recovery Program Includes additional assessments, fish restocking, discounted boat registration and trailer fees.	-9 233	-8 307	-250	—	-17 790
Total algal bloom response	**-126 176**	**-27 427**	**-4 946**	**-2 000**	**-162 549**
Total Commonwealth Government revenue	**66 250**	**—**	**—**	**—**	**66 250**

(a) Includes $2 million in 2029-30.

- $92.5 million in 2025-26, in partnership with the Commonwealth Government, to support Nyrstar to maintain its operations while progressing a detailed business case and engineering plans related to the modernisation of its smelter operations in Port Pirie
- $38.6 million of support in 2025-26 ($21.0 million state, $17.6 million Commonwealth Government) to support the transition of the Bedford group to new ownership. The state component includes $12 million of investing expenditure for the purchase of the Balyana property and the provision of a $3 million loan facility
- $27.4 million in 2025-26, in partnership with the Commonwealth Government, for the construction and operation of a modular barge with pontoons at Cooper Creek following significant rainfall in April 2025 that isolated properties along the Birdsville Track. The barge will support continued access to and from northern pastoral communities
- $24.5 million in 2025-26 to support continued delivery of the drought support package. This funding primarily responds to higher than expected uptake of the On-Farm Drought Infrastructure Rebate Scheme which is helping farmers to acquire important infrastructure to help improve future resilience to drought conditions
- $19.3 million over four years to establish the new Coordinator General position and Office. The Coordinator General function will aim to address challenges and speed up assessment and approval processes for a growing number of urgent and significant projects, including those involving housing, decarbonisation and AUKUS, whilst maintaining South Australia's high levels of statutory protection
- $12 million over four years to support access to community solar banks by reducing commercial, financial and technological barriers to solar, battery, and energy sharing technology for 1500 lower income households living in strata title accommodation
- $12 million over three years, in partnership with the Commonwealth Government, to support community and cultural programs approved by the Port Augusta and Davenport Community Alliance. Funding supports youth, community and cultural programs, including mentoring, education, and wellbeing initiatives
- $11.6 million over four years to address the increased demand for electronic monitoring of offenders.

Table 1.12: General government operating initiatives ($million)

	2025-26 MYBR	2026-27 Estimate	2027-28 Estimate	2028-29 Estimate
Across Government	-227.3	-43.4	-58.6	-69.1
Child Protection	-100.0	-50.0	—	—
Correctional Services	-2.7	-2.9	-3.0	-3.0
Education	-0.8	-3.2	-3.3	—
Emergency Services — CFS	-1.0	—	—	—
Energy and Mining	-0.8	-8.4	-2.2	-0.6
Environment and Water	-1.4	-0.2	—	—
Health and Wellbeing	-150.1	-75.9	-1.1	—
Human Services	-5.0	-5.2	-4.3	—
Police	-0.6	-0.6	-0.6	—
Premier and Cabinet	-5.6	-10.2	-10.3	-5.4
Primary Industries and Regions	-29.5	—	—	—
Total operating initiatives	**-524.7**	**-200.1**	**-83.4**	**-78.1**

Note: Totals may not add due to rounding.

Table 1.13: General government investing initiatives ($million)

	2025-26 MYBR	2026-27 Estimate	2027-28 Estimate	2028-29 Estimate
Across Government	-19.7	-6.3	-2.1	-0.6
Environment and Water	-1.6	—	—	—
Health and Wellbeing	-1.5	-0.5	-0.2	—
Infrastructure and Transport	-27.4	-4.3	—	—
Total investing initiatives	**-50.2**	**-11.1**	**-2.3**	**-0.6**

Note: Totals may not add due to rounding.

Parameter and other variations

A number of parameter variations since the 2025-26 Budget contribute to the change in projected expenses and investing payments in 2025-26 and across the forward estimates, including:

- revision to interest expense reflecting latest estimates of interest rates and gross debt
- revision to nominal superannuation interest expense reflecting revised discount rate assumptions and investment returns
- the reclassification of some transactions in accordance with accounting standards.

General government operating expenditure

Forward estimates of general government expenses are shown in table 1.14.

Table 1.14: General government operating expenditure — forward estimates ($million)

	2025-26 Budget	2025-26 MYBR	2026-27 Estimate	2027-28 Estimate	2028-29 Estimate
Employee expenses	11 418	11 450	11 710	12 041	12 411
Superannuation expenses					
Superannuation interest cost	271	271	245	221	195
Other superannuation expenses	1 362	1 368	1 396	1 434	1 476
Depreciation and amortisation	1 666	1 775	1 859	1 917	1 986
Interest expenses	1 619	1 590	1 848	2 100	2 408
Other property expenses	—	—	—	—	—
Other operating expenses	10 351	10 487	10 799	10 647	10 662
Grants	4 503	4 692	4 502	4 419	4 398
Total expenses	**31 190**	**31 633**	**32 359**	**32 780**	**33 537**
Total expenses % change on previous year					
Total expenses nominal growth (%)		5.0%	2.3%	1.3%	2.3%
Total expenses real growth (%)		1.9%	-0.4%	-1.2%	-0.2%

Note: Totals may not add due to rounding.

Average growth in expenses of 2.7 per cent per annum from 2024-25 to 2028-29 remains below trend growth in household income (4 per cent per annum), consistent with the government's fiscal target.

Employee expenses

Employee expenses are higher in 2025-26 and across the forward estimates in aggregate than forecast at the time of the 2025-26 Budget largely due to policy items announced in the 2025-26 MYBR, including for the algal bloom response measures.

Superannuation expenses

Across the forward estimates superannuation interest expenses are marginally lower than forecasts in the 2025-26 Budget due to a reduction in the liability from higher than estimated investment returns in 2024-25.

Depreciation and amortisation

The main asset types in the general government sector are buildings and improvements, plant, equipment and vehicles and road network.

Across the forward estimates depreciation and amortisation expenses have increased since forecasts in the 2025-26 Budget largely due to the estimated impact of a periodic revaluation of the Department for Infrastructure and Transport's asset base.

Interest expenses

Interest expenses comprise interest paid by the Treasurer to SAFA on government borrowings and interest expenses of agencies related to finance leases.

Interest expenses are lower over the forward estimates than estimated in the 2025-26 Budget due to lower interest rates than assumed in the 2025-26 Budget.

Other operating expenses

Other operating expenses are higher in 2025-26 than forecast in the 2025-26 Budget largely due to additional expenditure on policy items announced in the 2025-26 MYBR, including additional resources to support pressures in the health system, out of home care in Child Protection, the algal bloom response measures and the Nyrstar strategic response package.

Grants

Grant payments have been revised up in 2025-26 since the 2025-26 Budget to reflect revised timing of payments, including the National Skills Agreement, rounds one and two of the Growing Regions Program, Major Events Fund and the Business Growth Fund. Policy items included in the 2025-26 MYBR also contribute to higher grant payments, including for the algal bloom response, drought support measures and Port Augusta community and cultural programs.

Full-time equivalents (FTEs)

The net impact of policy decisions reflected in the MYBR on general government sector FTEs over the forward estimates period is shown in table 1.15.

Table 1.15: Full-time equivalent impacts of policy decisions in the 2025-26 MYBR

	FTEs as at 30 June			
	2026 MYBR	**2027 Estimate**	**2028 Estimate**	**2029 Estimate**
New initiatives	127	134	193	217
Savings measures	—	—	—	—
Total FTE impact of policy decisions	**127**	**134**	**193**	**217**

The major expenditure initiatives that have FTEs associated with them are:

- Royal Commission into Domestic, Family and Sexual Violence response — an additional 14 FTEs in 2025-26 increasing to 184 FTE in 2028-29 to respond to the recommendations of the Royal Commission
- Algal bloom response — an additional 66 FTEs in 2025-26 reducing to 3 FTE in 2028-29 to deliver the response package
- Premier and Cabinet — an additional 17 FTEs from 2025-26 for the new Coordinator General position and Office
- Correctional Services — an additional 13 FTEs from 2025-26 to manage supervision and compliance functions such as home visits and drug testing to address the increased demand for electronic monitoring of offenders.

The estimated aggregate workforce levels in the general government sector across the forward estimates as at the 2025-26 MYBR are shown in table 1.16.

Table 1.16: General government sector employment

	FTE employees as at 30 June				
	2025 Estimate and Actual	2026 Estimate	2027 Estimate	2028 Estimate	2029 Estimate
As at 2025-26 Budget	97 074	98 689	99 618	100 706	102 387
As at 2025-26 Mid-Year Budget Review	96 592	98 919	99 764	100 873	102 493
Change since 2025-26 Budget	**-482**	**229**	**146**	**167**	**107**
FTEs by agency at 2025-26 MYBR:					
Health and Wellbeing (excluding SAAS)	39 134	39 748	40 343	41 142	42 415
South Australian Ambulance Service	2 086	2 212	2 205	2 205	2 216
Education	26 332	26 738	26 805	26 823	26 901
Police	6 131	6 275	6 352	6 471	6 583
Other	22 908	23 946	24 059	24 231	24 377
Total FTEs as at 2025-26 MYBR	**96 592**	**98 919**	**99 764**	**100 873**	**102 493**

Note: Totals may not add due to rounding.

(a) The FTE numbers for the general government sector reflect the FTE cap including budget measures, unavoidable cost pressures and savings initiatives.

Actual FTEs were 482 lower as at 30 June 2025 than estimated in the 2025-26 Budget largely due to lower than budgeted FTEs across a range of agencies including Education, Child Protection, PIRSA and SA Police, partially offset by additional FTEs in Health and Wellbeing.

FTEs are projected to be higher in 2025-26 than estimated in the 2025-26 Budget largely due to the algal bloom response measures as announced in the 2025-26 MYBR.

General government investing expenditure

Forward estimates of general government investing expenditure are shown in table 1.17.

Table 1.17: General government sector investing expenditure — forward estimates ($million)

	2025-26 Budget	2025-26 MYBR	2026-27 Estimate	2027-28 Estimate	2028-29 Estimate
Purchases of non-financial assets	4 629	4 430	6 043	6 094	5 417

Purchases of non-financial assets are expected to be $4.4 billion in 2025-26. The forward estimates contain a major infrastructure investment program of $22.0 billion in the general government sector over the four years 2025-26 to 2028-29. This is higher than estimated at the time of the 2025-26 Budget, which had a four year program of $21.6 billion. The increase is in part a result of the policy measures announced in the MYBR including for the Cooper Creek barge, the purchase of the Balyana property and the algal bloom response measures.

Financial position

Tables 1.18 and 1.19 show the updated estimates for key balance sheet indicators for both the general government and non-financial public sectors.

Table 1.18: Key balance sheet indicators — general government sector

	As at 30 June					
	2025 Outcome	2026 Budget	2026 MYBR	2027 Estimate	2028 Estimate	2029 Estimate
Net debt						
$m	21 652	25 201	24 530	28 769	33 423	37 115
% of total revenue	71.2	80.3	77.3	88.4	100.8	109.7
Unfunded superannuation liability						
$m	6 601	5 945	5 833	5 306	4 731	4 105
% of total revenue	21.7	19.0	18.4	16.3	14.3	12.1
Net financial liabilities						
$m	34 896	37 784	37 064	41 232	45 118	48 116
% of total revenue	114.8	120.5	116.9	126.7	136.0	142.3
Net financial worth						
$m	-12 331	-14 734	-14 233	-17 784	-21 124	-24 032
% of total revenue	-40.6	-47.0	-44.9	-54.6	-63.7	-71.0
Net worth						
$m	66 002	62 272	66 367	66 971	67 759	68 103
% of total revenue	217.1	198.5	209.3	205.8	204.3	201.3

General government net debt is forecast to be $24.5 billion at 30 June 2026, a $671 million decrease from the estimate as at 2025-26 Budget. This decrease in net debt is largely the result of a lower net debt outcome in 2024-25 ($400 million) and a lower than forecast net lending deficit ($267 million) in the 2025-26 Budget.

General government net debt is projected to be $37.1 billion at 30 June 2029, a $84 million increase from the projection in the 2025-26 Budget.

The net debt to revenue ratio for the general government sector is forecast to fall to 77.3 per cent at 30 June 2026, compared with the estimate of 80.3 per cent at the time of the 2025-26 Budget. The lower forecast net debt to revenue ratio in 2025-26 mainly reflects lower net debt and higher revenues than estimated at the time of the 2025-26 Budget.

Public non-financial corporations (PNFC) sector net debt is forecast to be $10.2 billion at 30 June 2026, a $123 million decrease from the estimate at the time of the 2025-26 Budget, and is projected to be $11.6 billion at 30 June 2029.

The PNFC sector includes SA Water which makes up the largest component of net debt in that sector.

Table 1.19: Key balance sheet indicators — non-financial public sector

	As at 30 June					
	2025 Outcome	2026 Budget	2026 MYBR	2027 Estimate	2028 Estimate	2029 Estimate
Net debt						
$m	30 868	35 539	34 745	39 903	44 435	48 728
% of total revenue	96.7	107.6	104.1	115.9	125.8	136.7
Unfunded superannuation liability						
$m	6 601	5 945	5 833	5 306	4 731	4 105
% of total revenue	20.7	18.0	17.5	15.4	13.4	11.5
Net financial liabilities						
$m	44 825	48 934	48 099	53 350	57 278	61 039
% of total revenue	140.5	148.1	144.2	155.0	162.2	171.3
Net financial worth						
$m	-43 796	-46 701	-47 079	-52 322	-56 243	-60 005
% of total revenue	-137.3	-141.4	-141.1	-152.0	-159.2	-168.4
Net worth						
$m	66 002	62 273	66 342	66 866	67 578	67 888
% of total revenue	206.8	188.5	198.9	194.2	191.3	190.5

The combined non-financial public sector (NFPS) net debt is forecast to be $34.7 billion at 30 June 2026, a $794 million decrease since 2025-26 Budget. The decrease in NFPS net debt is largely due to a decrease in net debt in the general government sector ($671 million) and the public non-financial corporations (PNFC) sector ($123 million).

At 30 June 2029, NFPS net debt is projected to be $48.7 billion, a $233 million increase from the projection in the 2025-26 Budget.

Unfunded superannuation

The estimated unfunded superannuation liability at 30 June 2026, and across the forward estimates, has decreased since the 2025-26 Budget.

This decrease in the unfunded superannuation liability is primarily due to a higher than expected return on investments in 2024-25. The forecast earnings rate was 7 per cent while the actuals earnings rate was 9.3 per cent. Beyond 2025-26, the earnings rate is forecast to be 7 per cent, reflecting the long-term earnings rate target.

The prevailing annualised bond rate, 4.50 per cent, has remained the same as at the time of the 2025-26 Budget. In accordance with the Australian Accounting Standards the discount rate to value the unfunded superannuation liability reflects the Commonwealth Government bond rate, consistent with the average maturity of the liability.

The net result of variations in the earnings rate and other minor adjustments, is a decrease of $112 million in the estimated unfunded superannuation liability as at 30 June 2026. The unfunded superannuation liability is now expected to be $5.8 billion at 30 June 2026 with the liability decreasing over the forward estimates to $4.1 billion by 30 June 2029.

It should be noted that the unfunded liability is a long-term liability. While financial market volatility in the recent past has resulted in multibillion dollar revisions to the value of the liability recorded on the balance sheet, there has been no material change in the actual expected payments to beneficiaries underlying the liability. The government remains committed and on track to meet its target of fully funding the defined benefit superannuation liability by 2034.

Net financial liabilities

General government sector net financial liabilities are forecast to be $37.1 billion at 30 June 2026, a decrease of $720 million from the estimate as at 2025-26 Budget. The decrease in net financial liabilities reflects a lower net lending deficit ($267 million) than forecast in the 2025-26 Budget and a lower net financial liabilities outcome ($194 million) in 2024-25 than forecast in the 2025-26 Budget. Since 30 June 2025, a decrease to the revaluation of the unfunded superannuation liability also contributed to the decrease in net financial liabilities estimate for 2025-26.

At 30 June 2029, general government sector net financial liabilities are projected to be $48.1 billion, a $65 million decrease from the projection in the 2025-26 Budget.

Chapter 2: The economic context

Overview

The global, national and South Australian economies have shown resilience in the first half of 2025, despite the tariff shock and trade policy uncertainty remaining high, through front-loading of imports and speedy reorganisation of supply chains. However, the global economy is showing signs of a moderate slowdown as front-loading unwinds, and labour markets soften. Globally, inflation has remained above central bank targets, though is expected to decline, with the United States of America a notable exception.

The International Monetary Fund (IMF) estimates the global economy to have grown by 3.3 per cent in 2024 and forecasts growth to be 3.2 per cent in 2025 and 3.1 per cent in 2026. Risks to the outlook remain tilted to the downside. These risks include prolonged policy uncertainty, an escalation of protectionist measures, an end to the Artificial Intelligence (AI) investment boom, and restrictive immigration policies. Conversely, a breakthrough in trade negotiations or a productivity boost from AI could improve the outlook.

Australia's economy continues to navigate challenges, with Gross Domestic Product (GDP) growth in 2024-25 of 1.4 per cent, broadly in line with the 1½ per cent growth estimated at the time of the 2025-26 Commonwealth Budget. Growth is expected to pick up a little further and stabilise around the potential growth rate over the forecast period.

The Reserve Bank of Australia (RBA) cut rates three times to 3.60 per cent in response to inflation falling between the target rate of 2 and 3 per cent in early 2025. However, inflation has recently picked up, prompting the RBA to hold rates in November and December. Underlying inflation is expected to remain above the target range until the second half of 2026, before settling a little above the midpoint by mid 2027.

Economic Forecasts

South Australia's short-term forecasts have been revised upwards since the 2025-26 Budget reflecting current strong economic conditions, particularly for employment and domestic spending. Longer-term forecasts remain unchanged from budget.

Gross State Product (GSP) rose by 1.0 per cent in 2024-25, below the 2025-26 Budget estimate of 1¼ per cent. This growth was driven by strong public consumption and investment, private dwelling investment and household consumption, which helped offset weaker farm production caused by dry conditions through the growing season. GSP growth for 2025-26 has been revised up from 1¾ per cent to 2¼ per cent due to much stronger employment growth and spending than previously anticipated.

State Final Demand (SFD) rose by 3.0 per cent in 2024-25, well above the 2025-26 Budget estimate for growth of 1¾ per cent. SFD growth for 2025-26 has been revised upwards from 1¾ per cent to 2¼ per cent.

Employment rose by 1.4 per cent in 2024-25, above the 2025-26 Budget estimate of 1 per cent and is forecast to grow by 2½ per cent in 2025-26, supported by record participation and higher employment growth in 2024-25.

Labour market conditions in South Australia continue to be strong. Over the 12 months to November, South Australia's unemployment rate has averaged 4.2 per cent, identical to the national average rate. This compares with the decade to November 2024, when South Australia's unemployment rate averaged 5.7 per cent, 0.6 percentage points above the national rate.

Adelaide's CPI rose by 2.4 per cent in 2024-25, below the 2025-26 Budget estimate of 2¾ per cent, reflecting low growth in the December quarter 2024 CPI due largely to lower prices for electricity (reflecting the timing of rebates) and new dwellings. Inflation fell steadily in the first half of 2025 to be within the RBA's target band, although the headline rate has recently risen to be 3.7 per cent through the year to October 2025, largely reflecting the cessation of electricity rebates.

The forecast for CPI growth in 2025-26 remains unchanged from the 2025-26 forecast of 3 per cent. Growth in CPI is forecast to decline to 2½ per cent by 2027-28, the midpoint of the RBA's target range.

Forecasts and projections for South Australia take into consideration the expected performance of the national economy over the medium term and relative population growth rates.

Table 2.1: Key economic indicators — Australia and South Australia real growth rates (% per annum)

	2024-25 Actual	2025-26 Budget Forecast	2025-26 Revised Forecast	2026-27 Projection	2027-28 Projection	2028-29 Projection
Australia[(a)]						
Gross Domestic Product (GDP)	1.4	2¼	np	2½	2¾	2¾
South Australia						
Gross State Product (GSP)	1.0	1¾	2¼	2	2	2
State Final Demand (SFD)	3.0	1¾	2¼	2	2	2
Employment	1.4	1	2½	1	1	1
Adelaide Consumer Price Index (CPI)	2.4	3	3	2¾	2½	2½

Note: Forecasts and projections are based on underlying national economic and state population trends, and climatic conditions impacting on farm sector production.

(a) Australian GDP forecasts as published in the 2025-26 Federal Budget.

Appendix A: Policy measures by agency

Overview

This appendix lists the revenue and expenditure decisions since the 2025-26 Budget.

Increased expenditures are recorded as negative (-) items, while increased revenues are recorded as positive (+) items.

Revenue offsets in this section include revenues received from external parties, including the Commonwealth Government, for the specific purpose of, and incidental to, an expenditure initiative.

Table A.1: Policy measures ($million)

	2025-26 MYBR	2026-27 Estimate	2027-28 Estimate	2028-29 Estimate
Revenue measures — Taxation	-1	-1	—	—
Revenue measures — Other	-9	-2	—	—
General government operating expenditure initiatives[(a)]	-525	-200	-83	-78
Public non-financial corporations operating expenditure initiatives	—	—	—	—
Revenue offsets — Taxation	—	—	—	—
Revenue offsets — Other	134	7	3	1
Operating savings	—	—	—	—
Total operating initiatives	**-401**	**-196**	**-81**	**-77**
General government investing expenditure initiatives	-50	-11	-2	-1
Public non-financial corporations investing expenditure initiatives	—	—	—	—
General government revenue offsets	—	2	—	—
Public non-financial corporations revenue offsets	—	—	—	—
Investing savings	—	—	—	—
Asset sales	6	—	—	—
Total investing initiatives	**-44**	**-9**	**-2**	**-1**
General government FTE impact of initiatives	**127**	**134**	**193**	**217**
Public non-financial corporations FTE impact of initiatives	**—**	**—**	**—**	**—**

Note: Totals may not add due to rounding.
(a) Excludes depreciation on investing activities.

A listing of the measures is included in the following pages.

Budget implications ($000)	2025-26 MYBR	2026-27 Estimate	2027-28 Estimate	2028-29 Estimate
Across Government				
Operating initiatives				
Algal bloom response	-108 009	-20 189	-4 946	-2 000
Bedford group financial assistance	-23 600	—	—	—
Nyrstar strategic response package	-92 500	—	—	—
Royal Commission into Domestic, Family and Sexual Violence — response	-3 154	-23 238	-53 702	-67 119
Revenue measures				
Algal bloom response — fee relief	-10 493	-3 057	—	—
Revenue offsets				
Algal bloom response — Commonwealth funding	66 250	—	—	—
Bedford group financial assistance — Commonwealth funding	17 600	—	—	—
Nyrstar strategic response package — Commonwealth funding	37 500	—	—	—
Investing initiatives				
Algal bloom response	-7 674	-4 181	—	—
Bedford group financial assistance — Balyana acquisition	-12 000	—	—	—
Royal Commission into Domestic, Family and Sexual Violence — response	-33	-2 101	-2 051	-622
Asset sales				
Bedford group financial assistance — provision of crown land to The Disability Trust	6 000	—	—	—
Department for Child Protection				
Operating initiatives				
Out of Home Care — additional resources	-100 000	-50 000	—	—
Department for Correctional Services				
Operating initiatives				
Increase in electronic monitoring	-2 674	-2 929	-2 987	-3 045
Department for Education				
Operating initiatives				
Wait Mate program	—	-3 200	-3 296	—
Administered items for the Department for Education				
Operating initiatives				
New children's creative hub — support for fit-out	-800	—	—	—
Emergency Services — Country Fire Service				
Operating initiatives				
Preparedness initiatives for the 2025-26 fire danger season	-956	—	—	—

Budget implications ($000)	2025-26 MYBR	2026-27 Estimate	2027-28 Estimate	2028-29 Estimate
Department for Energy and Mining				
Operating initiatives				
Shared energy storage — community solar banks	-800	-8 400	-2 200	-600
Revenue offset				
Shared energy storage— community solar banks — Commonwealth funding	4 450	4 450	—	—
Department for Environment and Water				
Operating initiatives				
Alexandra Cave Naracoorte heritage grant	-217	-183	—	—
Milang foreshore flood recovery works and erosion control	-1 220	—	—	—
Revenue offset				
Alexandra Cave Naracoorte heritage grant — Commonwealth funding	197	183	—	—
Investing initiatives				
Adelaide stock exchange — roof repairs	-931	—	—	—
Granite island recreation park — upgraded visitor facilities	-700	—	—	—
Department for Health and Wellbeing				
Operating initiatives				
Newborn bloodspot screening expansion	-120	-924	-1 102	—
Sustainable and efficient health system — additional resources	-150 000	-75 000	—	—
Revenue offset				
Newborn bloodspot screening expansion — Commonwealth funding	1 622	1 424	1 302	—
Investing initiatives				
Newborn bloodspot screening expansion — additional equipment and infrastructure improvements	-1 502	-500	-200	—
Department of Human Services				
Operating initiatives				
Homelessness rough sleeping services funding extension	—	-1 228	-1 259	—
Port Augusta community and cultural programs	-5 000	-4 000	-3 000	—
Revenue offsets				
Port Augusta community and cultural programs — Commonwealth funding	6 000	—	—	—

Budget implications ($000)	2025-26 MYBR	2026-27 Estimate	2027-28 Estimate	2028-29 Estimate
Department for Infrastructure and Transport				
Investing initiatives				
Inland river flooding — Cooper Creek barge	-27 400	—	—	—
New heavy vehicle rest areas on the Barrier Highway	—	-4 310	—	—
Revenue offset investing				
New heavy vehicle rest areas on the Barrier Highway — Commonwealth funding	—	2 155	—	—
South Australia Police				
Operating initiatives				
Family law information sharing — continuation of the co-location program at family law court registries across South Australia	-610	-622	-632	—
Revenue offsets				
Family law information sharing — continuation of the co-location program at family law court registries across South Australia — Commonwealth funding	610	622	632	—
Department of the Premier and Cabinet				
Operating initiatives				
Business Events Adelaide — additional support	—	-5 000	-5 000	—
Inland river flooding — support measures	-2 120	—	—	—
Administered Items for the Department of the Premier and Cabinet				
Operating initiatives				
Establishment of the Coordinator General position and office	-3 472	-5 184	-5 273	-5 372
Revenue offsets				
Establishment of the Coordinator General position and office — fee for service	237	727	744	762
Department of Primary Industries and Regions				
Operating initiatives				
Drought support measures — additional support	-24 500	—	—	—
National eradication commitments	-2 487	—	—	—
Tomato brown rugose fruit virus	-2 500	—	—	—

Appendix B: Uniform presentation framework

Introduction

This appendix contains detailed financial projections for the various sectors of the total public sector defined by the *Australian System of Government Finance Statistics: Concepts, Sources and Methods 2015*, published by the Australian Bureau of Statistics (ABS).

The tables in this section satisfy Uniform Presentation Framework (UPF) requirements applicable for all states, territories, and the Commonwealth Government. The tables present budget information for South Australia on the UPF basis, reflecting the fiscal measures and scope outlined below.

The primary objective of the UPF is to ensure that the Commonwealth Government and state and territory governments provide a common 'core' of financial information in their budget papers to enable direct comparisons of each government's budget and financial results.

An updated UPF was released in February 2019 which incorporates revisions to the framework as a result of the 2015 update the Australian System of Government Financial Statistics (GFS) framework. The update of the Australian GFS aims to better align with the International Monetary Fund's (IMF) GFS 2014 framework and the System of National Accounts 2008.

The format of the aggregates is based on reporting standards set out by the Australian Accounting Standards Board — AASB 1049 *Whole of Government and General Government Sector Financial Reporting,* which adopts a harmonised GFS-GAAP reporting basis.

UPF Reporting

Public sector estimates and outcomes are presented on an accrual accounting basis within three primary statements: the operating statement, including other economic flows; the balance sheet; and the cash flow statement. These statements form the core reporting requirements of the UPF.

Operating statement

The operating statement:

- presents information on transactions (revenue and expenses) and other economic flows (revaluations and adjustments)
- captures the composition of revenues and expenses and the net cost of government activities within a fiscal year
- shows the full cost of services consumed by the government in achieving its objectives and the extent that these costs are met from various revenue sources
- shows information on capital expenditure and asset sales to derive a net lending/borrowing position.

The UPF operating statement fiscal aggregates include net operating balance, total change in net worth (comprehensive result) and net lending (fiscal balance). These are discussed further under fiscal measures.

Balance Sheet

The balance sheet:

- records the value of financial and non-financial assets and liabilities of governments, at the end of each reporting period
- shows the resources at the government's disposal and the type and valuation of its liabilities

- reveals the make-up of the government's financial assets, its fixed asset holdings, and the extent of liabilities such as borrowings and unfunded superannuation
- allows comparisons of asset and liability levels between jurisdictions and time periods.

The UPF balance sheet fiscal aggregates include net worth, net financial worth, net financial liabilities and net debt. These are discussed further under fiscal measures.

Cash Flow Statement

The cash flow statement reveals how a government obtains and expends cash. It shows how government cash inflows and outflows are allocated between various activities and their net impact on cash held.

This statement requires cash flows to be categorised into:

- operating activities comprising activities linked to collecting taxes, distributing grants, meeting workforce costs, and providing goods and services
- investing activities comprising activities linked to acquiring and disposing financial and non-financial assets
- financing activities comprising activities linked to changing the size and composition of a government's financial structure.

The sign convention within the cash flow statement is that all inflows carry a positive sign and all outflows carry a negative sign (regardless of whether they are gross or net cash flows).

The UPF cash flow statement fiscal aggregates include net increase in cash and cash/surplus/(deficit). These are discussed further under fiscal measures.

Fiscal measures

UPF reporting provides a number of measures for evaluating the soundness of a government's fiscal position and the effect of fiscal policy on economic conditions. These include measures on both a stock and flow basis.

Stock measures (including net worth, net debt, net financial worth and net financial liabilities) highlight the fiscal position of a government at a point in time, providing information on the results of past decisions. Stocks reflect holdings of assets and liabilities.

Flow measures (including the net operating balance, net lending/borrowing (fiscal balance), cash surplus/deficit and change in net worth) show changes in the fiscal position during the reporting period, reflecting the impact of government decisions and actions, and re-measurement impacts during that time. Flows represent the creation, transformation, exchange, transfer or extinction of economic value.

The fiscal measures in the UPF framework are:

Net operating balance

The net operating balance is the excess of revenue from transactions over expenses from transactions. The net operating balance excludes expenditure on the acquisition of capital assets, but includes non-cash costs such as accruing superannuation entitlements and the consumption of capital (depreciation).

Net operating balance reflects the sustainability of government fiscal position over time and provides a good indication of the sustainability of the existing level of government services. The net operating balance can also be defined as the change in net worth arising from economic transactions.

Net lending/borrowing

Net lending/borrowing measures a government's investment/saving balance. A net lending/borrowing surplus indicates that a government is saving more than is required to finance all of its investment spending and is therefore not contributing directly to the current account deficit.

Net lending/borrowing (which is recorded in the operating statement) differs from the net operating balance in the treatment of capital expenditure. Unlike the net operating balance, net lending/borrowing includes net capital expenditure, but not the use of capital (depreciation). It is calculated as the GFS Net Operating Balance less the net acquisition of non-financial assets.

Net lending is the accrual counterpart of the GFS cash surplus in the cash flow statement. However, the two measures are unlikely to coincide because of the differences arising when transactions are recorded in cash and accrual terms.

A positive result reflects a net lending position and a negative result reflects a net borrowing position.

Change in net worth

Change in net worth (comprehensive result) measures the variation in a government's accumulated assets and liabilities, and is the most inclusive measure of the change in a government's financial position over a given period.

Net worth

Net worth is calculated as total assets (both financial and non-financial) minus total liabilities. Net worth incorporates a government's non-financial assets, such as land and other fixed assets, which may be sold and used to repay debt, as well as certain financial assets and liabilities not captured by the net debt measure, most notably accrued employee superannuation liabilities, accrued long service leave benefits, debtors and creditors.

Net debt

Net debt comprises the stock of selected gross financial liabilities less selected financial assets.

Net debt is reported in the balance sheet and is the sum of deposits held, advances received and borrowing, less the sum of cash and deposits, advances paid, and investments, loans and placements.

Net financial worth

Net financial worth measures a government's net holdings of financial assets. It is calculated from the balance sheet as financial assets minus liabilities.

Net financial liabilities

Net financial liabilities comprises total liabilities less financial assets (net financial worth), but excludes equity investments (net worth) in the other sectors of the jurisdiction.

Net financial liabilities is a broader measure than net debt as it includes substantial non-debt liabilities such as accrued superannuation and long service leave entitlements.

Cash surplus/deficit

The cash surplus/deficit has two components. The first is the net cash flows from operating activities (operating receipts less operating payments). The second is the net cash flows from transactions (cash inflows from sales and cash outflows from purchases) in non-financial assets (less dividends paid by the public non-financial corporations (PNFC) and the public financial corporations (PFC) sectors).

Recording of cash transactions remains important for cash management purposes. In addition, cash measures provide the most useful indication of a government's need to call on financial markets to meet its budget obligations.

Institutional Sectors

The coverage of the UPF extends to the entire Australian public sector (excluding local government entities and universities) comprising units which are owned and/or controlled by the Commonwealth Government, State and Territory governments. These units (such as government departments, authorities and businesses) are grouped into three institutional sub-sectors — the general government sector, the PNFC sector and the PFC sector. In addition, the UPF also includes tables for the consolidated non-financial public sector (NFPS).

The general government sector comprises all government departments, offices and other bodies that fulfil the functions of government as their primary activity. General government services include those which are mainly non-market in nature and are largely for collective consumption by the community, or which involve the transfer or redistribution of income. These services are financed mainly through taxes, other compulsory levies and user charges. PNFCs are bodies mainly engaged in the production of goods and services of a non-financial nature for sale in the marketplace at prices that aim to recover most of the costs involved. This sector includes some trading enterprises, such as SA Water and the South Australian Housing Authority (SAHA). In general, PNFCs are legally distinguishable from the governments that own them.

The NFPS represents the consolidated transactions and assets and liabilities of the general government sector and the PNFC sector. In compiling statistics for the NFPS, transactions and debtor-creditor relationships between subsectors are eliminated to avoid double counting as part of a process known as consolidation.

PFCs are bodies primarily engaged in providing financial intermediation services or auxiliary financial services. Generally, they are able to transact in financial liabilities on their own account.

Budget reporting

Under the UPF agreement, all governments are required to present as part of their budget documentation an operating statement, balance sheet and cash flow statement for the general government sector, PNFC sector and the non-financial public sector. In addition, information is also presented on taxes and general government sector expenses by function.

This information is presented in tables B.1 through to B.15 in this appendix.

Reporting of outcomes

Outcomes are presented in final budget outcome documents. In addition to the tables presented at budget time, outcome reporting also contains the accrual financial statements for the PFC sector.

Table B.1: General government sector operating statement ($million)

	2025–26 Budget	2025–26 MYBR	2026–27 Estimate	2027–28 Estimate	2028–29 Estimate
Revenue					
Taxation revenue	7 285	7 373	7 639	7 914	8 199
Grants	17 939	17 982	18 552	18 832	19 076
Sales of goods and services	3 652	3 691	3 781	3 894	4 001
Interest income	431	434	419	422	429
Dividend and income tax equivalent income	316	400	343	287	270
Other	1 746	1 834	1 811	1 824	1 851
Total revenue	**31 369**	**31 713**	**32 545**	**33 174**	**33 824**
less Expenses					
Employee expenses	11 418	11 450	11 710	12 041	12 411
Superannuation expenses					
Superannuation interest cost	271	271	245	221	195
Other superannuation expenses	1 362	1 368	1 396	1 434	1 476
Depreciation and amortisation	1 666	1 775	1 859	1 917	1 986
Interest expenses	1 619	1 590	1 848	2 100	2 408
Other property expenses	—	—	—	—	—
Other operating expenses	10 351	10 487	10 799	10 647	10 662
Grants	4 503	4 692	4 502	4 419	4 398
Total expenses	**31 190**	**31 633**	**32 359**	**32 780**	**33 537**
equals Net operating balance	**179**	**80**	**187**	**394**	**287**
plus Other economic flows	264	285	417	394	56
equals Comprehensive result — total change in net worth	**443**	**365**	**604**	**788**	**344**
Fiscal aggregates					
Net operating balance	**179**	**80**	**187**	**394**	**287**
less Net acquisition of non-financial assets					
Purchases of non-financial assets	4 629	4 430	6 043	6 094	5 417
less Sales of non-financial assets	341	398	69	91	231
less Depreciation	1 666	1 775	1 859	1 917	1 986
plus Change in inventories	—	—	—	—	—
plus Other movements in non-financial assets	—	—	—	—	—
equals Total net acquisition of non-financial assets	**2 622**	**2 256**	**4 114**	**4 087**	**3 200**
equals Net lending / borrowing	**-2 443**	**-2 176**	**-3 927**	**-3 692**	**-2 912**

Note: Totals may not add due to rounding.

Table B.2: Public non-financial corporations (public trading enterprises) sector operating statement ($million)

	2025–26 Budget	2025–26 MYBR	2026–27 Estimate	2027–28 Estimate	2028–29 Estimate
Revenue					
Taxation revenue	—	—	—	—	—
Grants	449	417	594	522	410
Sales of goods and services	2 126	2 160	2 317	2 534	2 313
Interest income	26	31	26	25	23
Dividend and income tax equivalent income	1	1	1	1	1
Other	262	299	353	361	229
Total revenue	**2 863**	**2 907**	**3 291**	**3 442**	**2 976**
less Expenses					
Employee expenses	341	348	349	357	365
Superannuation expenses					
Superannuation interest cost	—	—	—	—	—
Other superannuation expenses	46	46	47	48	48
Depreciation and amortisation	568	562	571	571	622
Interest expenses	366	356	420	477	507
Other property expenses	67	90	75	58	53
Other operating expenses	1 703	1 706	1 669	1 846	1 629
Grants	64	34	45	44	27
Total expenses	**3 155**	**3 142**	**3 176**	**3 401**	**3 251**
equals Net operating balance	**-292**	**-235**	**115**	**41**	**-275**
plus Other economic flows	558	272	249	268	263
equals Comprehensive result — total change in net worth	**266**	**37**	**365**	**309**	**-12**
Fiscal aggregates					
Net operating balance	**-292**	**-235**	**115**	**41**	**-275**
less Net acquisition of non-financial assets					
Purchases of non-financial assets	1 701	1 817	1 922	1 189	1 336
less Sales of non-financial assets	313	324	79	179	222
less Depreciation	568	562	571	571	622
plus Change in inventories	85	50	-14	-303	-38
plus Other movements in non-financial assets	—	—	—	—	—
equals Total net acquisition of non-financial assets	**905**	**981**	**1 259**	**136**	**454**
equals Net lending / borrowing	**-1 197**	**-1 216**	**-1 143**	**-95**	**-729**

Note: Totals may not add due to rounding.

Table B.3: Non-financial public sector operating statement ($million)

	2025–26 Budget	2025–26 MYBR	2026–27 Estimate	2027–28 Estimate	2028–29 Estimate
Revenue					
Taxation revenue	6 993	7 080	7 337	7 606	7 882
Grants	17 944	17 986	18 536	18 819	19 081
Sales of goods and services	5 547	5 620	5 857	6 178	6 063
Interest income	448	452	436	438	443
Dividend and income tax equivalent income	93	92	94	93	90
Other	2 007	2 131	2 163	2 184	2 079
Total revenue	**33 031**	**33 362**	**34 424**	**35 318**	**35 638**
less Expenses					
Employee expenses	11 737	11 774	12 034	12 372	12 748
Superannuation expenses					
Superannuation interest cost	271	271	245	221	195
Other superannuation expenses	1 408	1 414	1 443	1 482	1 525
Depreciation and amortisation	2 234	2 337	2 430	2 488	2 608
Interest expenses	1 975	1 934	2 259	2 568	2 906
Other property expenses	—	—	—	—	—
Other operating expenses	11 552	11 692	11 949	11 961	11 750
Grants	4 124	4 314	3 938	3 928	4 020
Total expenses	**33 300**	**33 736**	**34 296**	**35 019**	**35 753**
equals Net operating balance	**-269**	**-374**	**127**	**299**	**-115**
plus Other economic flows	712	715	396	414	424
equals Comprehensive result — total change in net worth	**443**	**340**	**524**	**713**	**309**
Fiscal aggregates					
Net operating balance	**-269**	**-374**	**127**	**299**	**-115**
less Net acquisition of non-financial assets					
Purchases of non-financial assets	6 320	6 237	7 965	7 281	6 747
less Sales of non-financial assets	643	712	148	267	448
less Depreciation	2 234	2 337	2 430	2 488	2 608
plus Change in inventories	85	50	-14	-303	-38
plus Other movements in non-financial assets	—	—	—	—	—
equals Total net acquisition of non-financial assets	**3 527**	**3 239**	**5 374**	**4 224**	**3 654**
equals Net lending / borrowing	**-3 796**	**-3 613**	**-5 246**	**-3 925**	**-3 769**

Note: Totals may not add due to rounding.

Table B.4: General government sector balance sheet ($million)

	2025–26 Budget	2025–26 MYBR	2026–27 Estimate	2027–28 Estimate	2028–29 Estimate
Assets					
Financial assets					
Cash and deposits	13 659	12 653	13 289	13 379	13 929
Advances paid	277	185	217	276	305
Investments, loans and placements	1 032	1 063	1 060	1 055	1 048
Receivables	2 388	2 419	2 586	2 754	2 918
Equity					
Investments in other public sector entities	23 050	22 832	23 448	23 994	24 084
Other equity investments	116	131	131	131	131
Other financial assets	—	—	—	—	—
Total financial assets	**40 522**	**39 282**	**40 730**	**41 589**	**42 413**
Non-financial assets					
Land and other fixed assets	76 867	80 340	84 496	88 624	91 866
Other non-financial assets	139	260	259	259	269
Total non-financial assets	**77 006**	**80 600**	**84 755**	**88 883**	**92 135**
Total assets	**117 527**	**119 882**	**125 485**	**130 472**	**134 548**
Liabilities					
Deposits held	254	309	313	441	482
Advances received	—	—	—	—	—
Borrowing	39 915	38 122	43 022	47 691	51 914
Superannuation	5 945	5 833	5 306	4 731	4 105
Other employee benefits	3 830	3 894	4 058	4 011	4 109
Payables	1 554	1 620	1 624	1 632	1 637
Other liabilities	3 757	3 737	4 191	4 206	4 199
Total liabilities	**55 255**	**53 515**	**58 515**	**62 713**	**66 445**
Net Worth	**62 272**	**66 367**	**66 971**	**67 759**	**68 103**
Fiscal Aggregates					
Net financial worth (a)	-14 734	-14 233	-17 784	-21 124	-24 032
Net financial liabilities	37 784	37 064	41 232	45 118	48 116
Net debt (b)	25 201	24 530	28 769	33 423	37 115

Note: Totals may not add due to rounding.
(a) Net financial worth equals total financial assets minus total liabilities.
(b) Net debt equals the sum of deposits held, advances received and borrowing, minus the sum of cash and deposits, advances paid, and investments, loans and placements.

Table B.5: Public non-financial corporations (public trading enterprises) sector balance sheet ($million)

	2025–26 Budget	2025–26 MYBR	2026–27 Estimate	2027–28 Estimate	2028–29 Estimate
Assets					
Financial assets					
Cash and deposits	210	260	272	411	463
Advances paid	21	20	20	20	20
Investments, loans and placements	33	42	40	40	40
Receivables	464	515	513	513	507
Equity					
Investments in other public sector entities	—	—	—	—	—
Other equity investments	11	12	12	12	12
Other financial assets	—	—	—	—	—
Total financial assets	**739**	**847**	**856**	**995**	**1 041**
Non-financial assets					
Land and other fixed assets	31 949	32 793	34 409	34 921	35 746
Other non-financial assets	139	140	134	128	122
Total non-financial assets	**32 088**	**32 933**	**34 543**	**35 049**	**35 868**
Total assets	**32 827**	**33 781**	**35 399**	**36 044**	**36 908**
Liabilities					
Deposits held	1	—	1	1	2
Advances received	—	—	—	—	—
Borrowing	10 601	10 535	11 463	11 480	12 131
Superannuation	—	—	—	—	—
Other employee benefits	113	117	123	128	133
Payables	426	497	496	494	492
Other liabilities	868	845	1 003	1 162	1 316
Total liabilities	**12 009**	**11 995**	**13 086**	**13 266**	**14 074**
Net Worth	**20 818**	**21 786**	**22 314**	**22 779**	**22 835**
Fiscal Aggregates					
Net financial worth (a)	-11 270	-11 147	-12 230	-12 270	-13 033
Net financial liabilities	11 270	11 147	12 230	12 270	13 033
Net debt (b)	10 338	10 215	11 133	11 011	11 610

Note: Totals may not add due to rounding.
(a) Net financial worth equals total financial assets minus total liabilities.
(b) Net debt equals the sum of deposits held, advances received and borrowing, minus the sum of cash and deposits, advances paid, and investments, loans and placements.

Table B.6: Non-financial public sector balance sheet ($million)

	2025–26 Budget	2025–26 MYBR	2026–27 Estimate	2027–28 Estimate	2028–29 Estimate
Assets					
Financial assets					
Cash and deposits	13 804	12 763	13 408	13 509	14 070
Advances paid	298	205	236	295	324
Investments, loans and placements	955	997	1 005	1 015	1 024
Receivables	1 975	2 107	2 120	2 135	2 146
Equity					
Investments in other public sector entities	2 233	1 020	1 028	1 034	1 034
Other equity investments	127	142	142	142	142
Other financial assets	—	—	—	—	—
Total financial assets	**19 392**	**17 234**	**17 940**	**18 131**	**18 740**
Non-financial assets					
Land and other fixed assets	108 817	113 134	118 907	123 548	127 614
Other non-financial assets	157	287	281	274	279
Total non-financial assets	**108 974**	**113 421**	**119 187**	**123 822**	**127 893**
Total assets	**128 366**	**130 656**	**137 127**	**141 953**	**146 633**
Liabilities					
Deposits held	188	159	160	160	161
Advances received	—	—	—	—	—
Borrowing	50 408	48 550	54 393	59 095	63 986
Superannuation	5 945	5 833	5 306	4 731	4 105
Other employee benefits	3 937	4 004	4 174	4 132	4 235
Payables	1 904	2 054	2 056	2 062	2 064
Other liabilities	3 712	3 712	4 173	4 194	4 194
Total liabilities	**66 093**	**64 313**	**70 262**	**74 374**	**78 745**
Net Worth	**62 273**	**66 342**	**66 866**	**67 578**	**67 888**
Fiscal Aggregates					
Net financial worth (a)	-46 701	-47 079	-52 322	-56 243	-60 005
Net financial liabilities	48 934	48 099	53 350	57 278	61 039
Net debt (b)	35 539	34 745	39 903	44 435	48 728

Note: Totals may not add due to rounding.
(a) Net financial worth equals total financial assets minus total liabilities.
(b) Net debt equals the sum of deposits held, advances received and borrowing, minus the sum of cash and deposits, advances paid, and investments, loans and placements.

Table B.7: General government sector cash flow statement ($million)

	2025–26 Budget	2025–26 MYBR	2026–27 Estimate	2027–28 Estimate	2028–29 Estimate
Cash receipts from operating activities					
Taxes received	7 254	7 332	7 620	7 895	8 178
Receipts from sales of goods and services	3 524	3 562	3 646	3 756	3 855
Grants and subsidies received	17 928	18 122	18 492	18 839	19 061
Interest receipts	410	413	399	402	410
Dividends and income tax equivalents	296	356	292	235	224
Other receipts	1 771	1 846	2 329	1 845	1 877
Total operating receipts	**31 183**	**31 631**	**32 777**	**32 971**	**33 605**
Cash payments for operating activities					
Payments to employees	-13 316	-13 396	-13 644	-14 255	-14 561
Purchases of goods and services	-7 868	-7 757	-8 245	-8 094	-8 037
Grants and subsidies paid	-4 498	-4 689	-4 499	-4 415	-4 395
Interest paid	-1 594	-1 572	-1 833	-2 080	-2 395
Other payments	-2 371	-2 682	-2 446	-2 447	-2 521
Total operating payments	**-29 647**	**-30 096**	**-30 667**	**-31 292**	**-31 908**
Net cash flows from operating activities	**1 537**	**1 535**	**2 110**	**1 679**	**1 697**
Net cash flows from investments in non-financial assets					
Sales of non-financial assets	281	280	12	11	177
Purchases of non-financial assets	-4 535	-4 079	-5 447	-5 499	-5 286
Net cash flows from investments in non-financial assets	**-4 254**	**-3 799**	**-5 435**	**-5 488**	**-5 109**
Net cash flows from investments in financial assets for policy purposes (a)	**-434**	**-494**	**-353**	**-338**	**-203**
Net cash flows from investments in financial assets for liquidity purposes	**-12**	**-12**	**-12**	**-12**	**-12**
Net cash flow from financing activities					
Advances received (net)	—	—	—	—	—
Borrowing (net)	5 198	3 571	4 323	4 120	4 137
Deposits received (net)	-15	-23	4	129	41
Dividends paid	—	—	—	—	—
Other financing (net)	—	—	—	—	—
Net cash flows from financing activities	**5 183**	**3 548**	**4 326**	**4 248**	**4 177**
Net increase/(decrease) in cash held	**2 019**	**778**	**636**	**90**	**550**
Fiscal Aggregates					
Net cash flows from operating activities	1 537	1 535	2 110	1 679	1 697
Net cash flows from investments in non-financial assets	-4 254	-3 799	-5 435	-5 488	-5 109
Dividends paid	—	—	—	—	—
Cash surplus / (deficit)	**-2 718**	**-2 264**	**-3 325**	**-3 808**	**-3 412**

Note: Totals may not add due to rounding.
(a) Includes equity acquisitions and disposals.

Table B.8: Public non-financial corporations (public trading enterprises) sector cash flow statement ($million)

	2025–26 Budget	2025–26 MYBR	2026–27 Estimate	2027–28 Estimate	2028–29 Estimate
Cash receipts from operating activities					
Taxes received	—	—	—	—	—
Receipts from sales of goods and services	2 083	2 118	2 270	2 488	2 284
Grants and subsidies received	449	417	594	522	410
Interest receipts	8	12	8	8	8
Dividends and income tax equivalents	1	1	1	1	1
Other receipts	202	250	362	366	241
Total operating receipts	**2 743**	**2 797**	**3 235**	**3 385**	**2 943**
Cash payments for operating activities					
Payments to employees	-383	-389	-391	-399	-408
Purchases of goods and services	-1 369	-1 339	-1 228	-1 103	-1 145
Grants and subsidies paid	-64	-34	-45	-44	-27
Interest paid	-489	-478	-550	-613	-643
Other payments	-332	-331	-315	-304	-311
Total operating payments	**-2 636**	**-2 572**	**-2 530**	**-2 464**	**-2 534**
Net cash flows from operating activities	**107**	**225**	**706**	**921**	**409**
Net cash flows from investments in non-financial assets					
Sales of non-financial assets	313	324	79	179	222
Purchases of non-financial assets	-1 663	-1 779	-1 883	-1 150	-1 314
Net cash flows from investments in non-financial assets	**-1 350**	**-1 455**	**-1 805**	**-971**	**-1 092**
Net cash flows from investments in financial assets for policy purposes (a)	**1**	**1**	**1**	**1**	**1**
Net cash flows from investments in financial assets for liquidity purposes	**16**	**19**	**19**	**16**	**14**
Net cash flow from financing activities					
Advances received (net)	374	432	338	293	195
Borrowing (net)	999	978	928	17	651
Deposits received (net)	—	—	—	—	—
Dividends paid	-156	-219	-175	-137	-127
Other financing (net)	—	—	—	—	—
Net cash flows from financing activities	**1 217**	**1 191**	**1 091**	**173**	**719**
Net increase/(decrease) in cash held	**-9**	**-20**	**12**	**140**	**51**
Fiscal Aggregates					
Net cash flows from operating activities	107	225	706	921	409
Net cash flows from investments in non-financial assets	-1 350	-1 455	-1 805	-971	-1 092
Dividends paid	-156	-219	-175	-137	-127
Cash surplus / (deficit)	**-1 399**	**-1 450**	**-1 274**	**-187**	**-810**

Note: Totals may not add due to rounding.
(a) Includes equity acquisitions and disposals.

Table B.9: Non-financial public sector cash flow statement ($million)

	2025–26 Budget	2025–26 MYBR	2026–27 Estimate	2027–28 Estimate	2028–29 Estimate
Cash receipts from operating activities					
Taxes received	6 962	7 039	7 318	7 586	7 862
Receipts from sales of goods and services	5 376	5 450	5 675	5 995	5 888
Grants and subsidies received	17 933	18 126	18 476	18 825	19 066
Interest receipts	409	412	398	401	409
Dividends and income tax equivalents	93	92	94	93	90
Other receipts	1 972	2 095	2 690	2 210	2 118
Total operating receipts	**32 746**	**33 214**	**34 651**	**35 111**	**35 432**
Cash payments for operating activities					
Payments to employees	-13 676	-13 762	-14 011	-14 629	-14 941
Purchases of goods and services	-9 149	-9 007	-9 382	-9 105	-9 087
Grants and subsidies paid	-4 119	-4 310	-3 934	-3 924	-4 016
Interest paid	-1 950	-1 916	-2 244	-2 548	-2 893
Other payments	-2 359	-2 672	-2 434	-2 435	-2 508
Total operating payments	**-31 252**	**-31 667**	**-32 004**	**-32 641**	**-33 447**
Net cash flows from operating activities	**1 494**	**1 547**	**2 647**	**2 470**	**1 985**
Net cash flows from investments in non-financial assets					
Sales of non-financial assets	583	593	90	187	393
Purchases of non-financial assets	-6 187	-5 847	-7 330	-6 646	-6 595
Net cash flows from investments in non-financial assets	**-5 604**	**-5 254**	**-7 240**	**-6 459**	**-6 201**
Net cash flows from investments in financial assets for policy purposes (a)	**-70**	**-73**	**-27**	**-60**	**-24**
Net cash flows from investments in financial assets for liquidity purposes	**4**	**7**	**6**	**4**	**2**
Net cash flow from financing activities					
Advances received (net)	—	—	—	—	—
Borrowing (net)	6 209	4 562	5 265	4 152	4 805
Deposits received (net)	—	—	—	—	—
Dividends paid	—	—	—	—	—
Other financing (net)	—	—	—	—	—
Net cash flows from financing activities	**6 209**	**4 562**	**5 265**	**4 153**	**4 806**
Net increase/(decrease) in cash held	**2 033**	**789**	**652**	**108**	**568**
Fiscal Aggregates					
Net cash flows from operating activities	1 494	1 547	2 647	2 470	1 985
Net cash flows from investments in non-financial assets	-5 604	-5 254	-7 240	-6 459	-6 201
Dividends paid	—	—	—	—	—
Cash surplus / (deficit)	**-4 110**	**-3 707**	**-4 593**	**-3 989**	**-4 216**

Note: Totals may not add due to rounding.
(a) Includes equity acquisitions and disposals.

Table B.10: General government sector taxes ($million)

	2025–26 Budget	2025–26 MYBR	2026–27 Estimate	2027–28 Estimate	2028–29 Estimate
Taxes on employers' payroll and labour force	**2 048**	**2 058**	**2 167**	**2 283**	**2 404**
Taxes on property					
Land taxes	909	909	935	961	988
Other	298	299	296	304	311
Total	**1 208**	**1 208**	**1 231**	**1 265**	**1 299**
Taxes on the provision of goods and services					
Excises and levies	—	—	—	—	—
Taxes on gambling	671	679	692	703	714
Taxes on insurance	734	741	773	805	838
Stamp duties on financial and capital transactions	1 625	1 688	1 749	1 804	1 860
Total	**3 031**	**3 108**	**3 214**	**3 311**	**3 412**
Taxes on use of goods and performance of activities					
Motor vehicle taxes	979	980	1 008	1 035	1 063
Other	20	20	19	21	21
Total	**999**	**999**	**1 027**	**1 056**	**1 084**
Total taxation revenue	**7 285**	**7 373**	**7 639**	**7 914**	**8 199**

Note: Totals may not add due to rounding.

Table B.11(part a): General government sector grant revenue ($million)

	2025–26 Budget	2025–26 MYBR	2026–27 Estimate	2027–28 Estimate	2028–29 Estimate
Current grant revenue					
Current grants from the Commonwealth					
General purpose grants	9 529	9 554	9 864	9 834	9 950
National partnership grants	743	1 132	384	361	238
National partnership grants for on-passing	258	161	253	249	257
Specific purpose grants	3 274	3 104	3 458	3 644	3 864
Specific purpose grants for on-passing	1 708	1 708	1 790	1 871	1 951
Other grants	659	693	661	652	655
Total current grants from the Commonwealth	**16 171**	**16 352**	**16 409**	**16 612**	**16 914**
Other contributions and grants	178	184	196	189	174
Total current grant revenue	**16 348**	**16 536**	**16 605**	**16 801**	**17 089**
Capital grant revenue					
Capital grants from the Commonwealth					
General purpose grants	—	—	—	—	—
National partnership grants	1 448	1 298	1 785	1 886	1 841
National partnership grants for on-passing	—	—	—	—	—
Specific purpose grants	122	122	125	128	130
Specific purpose grants for on-passing	—	—	—	—	—
Other capital grants	15	20	32	13	11
Total capital grants from the Commonwealth	**1 585**	**1 440**	**1 942**	**2 027**	**1 982**
Other contributions and grants	5	5	5	5	5
Total capital grant revenue	**1 591**	**1 445**	**1 947**	**2 032**	**1 987**
Total grant revenue	**17 939**	**17 982**	**18 552**	**18 832**	**19 076**

Note: Totals may not add due to rounding.

Table B.11(part b): General government sector grant expense ($million)

	2025–26 Budget	2025–26 MYBR	2026–27 Estimate	2027–28 Estimate	2028–29 Estimate
Current grant expense					
State/territory government	1	2	2	1	1
Local government	126	179	101	85	91
Local government on-passing	252	152	236	244	252
Private and not-for-profit sector	1 286	1 467	1 196	1 159	1 153
Private and not-for-profit sector on-passing	1 714	1 728	1 807	1 875	1 956
Grants to other sectors of government	383	347	521	440	323
Other	659	723	543	516	523
Total current grant expense	**4 421**	**4 598**	**4 406**	**4 322**	**4 299**
Capital grant expense					
State/territory government	—	—	—	—	—
Local government	12	16	30	29	28
Local government on-passing	—	—	—	—	—
Private and not-for-profit sector	71	70	66	69	71
Private and not-for-profit sector on-passing	—	—	—	—	—
Other	—	8	—	—	—
Total capital grant expense	**82**	**94**	**96**	**97**	**99**
Total grant expense	**4 503**	**4 692**	**4 502**	**4 419**	**4 398**

Note: Totals may not add due to rounding.

Table B.12: General government sector dividend and income tax equivalent income ($million)

	2025–26 Budget	2025–26 MYBR	2026–27 Estimate	2027–28 Estimate	2028–29 Estimate
Dividend and income tax equivalent income from PNFC sector	223	309	250	195	181
Dividend and income tax equivalent income from PFC sector	92	91	93	91	89
Other dividend income	1	1	1	1	1
Total dividend and income tax equivalent income	**316**	**400**	**343**	**287**	**270**

Note: Totals may not add due to rounding.

Table B.13: Movement in general government net worth ($million)

	2025-26 Budget	2025-26 MYBR	2026-27 Estimate	2027-28 Estimate	2028-29 Estimate
Net worth at beginning of year	**61 829**	**66 002**	**66 367**	**66 971**	**67 759**
Change in net worth from operating transactions					
Net operating balance	179	80	187	394	287
Change in net worth from other economic flows					
Movement in net assets of PFCs[(a)]	-10	-9	8	6	-1
Movement in net assets of PNFCs[(a)]	210	-57	371	349	-4
Revaluation of unfunded superannuation liability[(b)]	170	447	171	172	172
Revaluation of long service leave liability	-107	-107	-108	-110	-112
Revaluation of annual leave liability	-17	-17	-17	-18	-18
Revaluation of workers compensation liability	-17	-17	-17	-17	-17
Revaluation of non-financial assets	41	41	41	41	41
Other revaluation adjustments	-7	4	-31	-29	-6
Total other economic flows	**264**	**285**	**417**	**394**	**56**
Net worth at year end	**62 272**	**66 367**	**66 971**	**67 759**	**68 103**

Note: Totals may not add due to rounding.

(a) Net of equity injections from, and the return of equity to, the general government sector. Total also includes the net impact from the principles of tax effect accounting.

(b) 2025–26 change represents the revaluation difference from 30 June 2025 liability.

Classifications of the functions of government

The following tables classify and present General Government expenses and capital expenditure in terms of the Government purpose (e.g. health, education, economic affairs etc) in accordance with the *Classification of the Functions of Government — Australia (COFOG-A)*. The *COFOG-A* is the classification framework which was introduced by the Australian Bureau of Statistics from 1 July 2017. Expenditure classified under this framework may be classified differently than agency expenditure totals.

Table B.14: General government sector expenses by function ($million)[(a)]

	2025-26 MYBR $m	2025-26 MYBR % of total	Sustainable Development Goal & Target[(c)]
General public services			
Executive and legislative organs, financial and fiscal affairs, external affairs	502		16.6
Foreign economic aid	—		
General services	212		16.6
Basic research	—		
Research and development — general public services	—		
Public debt transactions	1 861		16.6
Transfers of a general character between different levels of government	165		16.6
General public services not elsewhere classified	81		16.6
Total General public services	**2 822**	**8.9%**	
Defence[(b)]	**—**		
Public order and safety			
Police services	1 235		16.1-16.3
Civil and fire protection services	439		13.1
Law courts	524		16.3
Prisons	478		16.3
Research and development — public order and safety	—		
Public order and safety not elsewhere classified	32		16
Total Public order and safety	**2 708**	**8.6%**	
Economic affairs			
General economic, commercial and labour affairs	262		8.1
Agriculture, forestry, fishing and hunting	249		2.4
Fuel and energy	131		7.1, 7.2
Mining, manufacturing and construction	649		8
Communication	78		9
Other industries	227		8.1
Research and development — economic affairs	93		9.5
Economic affairs not elsewhere classified	—		
Total Economic affairs	**1 689**	**5.3%**	

	2025-26 MYBR $m	2025-26 MYBR % of total	Sustainable Development Goal & Target[(c)]
Environmental protection			
Waste management	3		11.6
Waste water management	1		6.3
Pollution abatement	63		3.9
Protection of biodiversity and landscape	499		15.5
Research and development — environmental protection	—		
Environmental protection not elsewhere classified	—		
Total Environmental protection	**566**	**1.8%**	
Housing and community amenities			
Housing development	23		11.1
Community development	337		11.3
Water supply	195		6.4
Street lighting	—		
Research and development — housing and community amenities	—		
Housing and community amenities not elsewhere classified	—		
Total Housing and community amenities	**555**	**1.8%**	
Health			
Medical products, appliances and equipment	157		3.8
Outpatient services	702		3.8
Hospital services	6 642		3.8
Mental health institutions	66		3.4
Community health services	1 000		3.8
Public health services	809		3.8
Research and development — health	86		3.b
Health not elsewhere classified	172		3.8
Total Health	**9 634**	**30.5%**	
Recreation, culture and religion			
Recreational and sporting services	801		11
Cultural services	301		11.4
Broadcasting and publishing services	—		
Religious and other community services	—		
Research and development — recreation, culture and religion	—		
Recreation, culture and religion not elsewhere classified	23		11
Total Recreation, culture and religion	**1 125**	**3.6%**	

	2025-26 MYBR $m	2025-26 MYBR % of total	Sustainable Development Goal & Target[(c)]
Education			
Pre-primary and primary education	3 668		4.2
Secondary education	2 904		4.1
Tertiary education	540		4.3
Education not definable by level	5		4
Subsidiary services to education	66		4
Research and development — education	—		
Education not elsewhere classified	18		4
Total Education	**7 201**	**22.8%**	
Social protection			
Sickness and disability	1 132		10.2
Old age	137		10.2
Survivors	—		
Family and children	1 045		5.4, 1.4, 1.5
Unemployment	—		
Housing	73		
Social exclusion not elsewhere classified	622		10.2
Research and development — social protection	—		
Social protection not elsewhere classified	75		1.5
Total Social protection	**3 084**	**9.7%**	
Transport			
Road transport	1 487		9.1, 11.2
Bus transport	387		11.2
Water transport	59		9.1
Railway transport	255		11.2
Air transport	17		9.1
Multi-mode urban transport	41		9.1
Pipeline and other transport	—		
Research and development — transport	—		
Transport not elsewhere classified	2		9.1
Total Transport	**2 249**	**7.1%**	
Total Expenses	**31 633**	**100%**	

Note: Totals may not add due to rounding.

(a) Expenses by function data is derived from information submitted by government departments and agencies. The processes for deriving this data are subject to ongoing refinements. Consequently the data may be subject to future revisions.

(b) The ABS defines 'defence' as expenditure on military and civil defence affairs, foreign military aid and defence research. The expenditure of Defence SA is included in 'Economic affairs'

(c) This denotes a material alignment of the expenses by function data to a United Nations Sustainable Development Goal (SDG) or SDG target. Where there are no expenses by function for the MYBR, no alignment has been presented. There are a total of 17 SDGs. https://sdgs.un.org/goals. Not all SDGs have been aligned with the expenses by function data.

Table B.15: General government sector capital expenditure by function ($million)[(a)]

	2025–26 MYBR	Sustainable Development Goal & Target[(c)]
General public services	49	16.6
Defence[(b)]	—	
Public order and safety	346	16.1-16.3, 16.6
Economic affairs	185	8.1, 7.1, 7.2, 9
Environmental protection	73	15.5
Housing and community amenities	104	11.3, 6.4
Health	810	3.8
Recreation, culture and religion	172	11
Education	274	4
Social protection	19	1.2, 1.4
Transport	2 398	9.1, 11.2
Total capital expenditure	**4 430**	

Note: Totals may not add due to rounding.

(a) Expenses by function data is derived from information submitted by government departments and agencies. The processes for deriving this data are subject to ongoing refinements. Consequently the data may be subject to future revisions.

(b) The ABS defines 'defence' as expenditure on military and civil defence affairs, foreign military aid and defence research. The expenditure of Defence SA is included in 'Economic affairs'.

(c) This denotes a material alignment of the expenses by function data to a United Nations Sustainable Development Goal (SDG) or SDG target. Where there are no expenses by function for the MYBR, no alignment has been presented. There are a total of 17 SDGs. https://sdgs.un.org/goals. Not all SDGs have been aligned with the expenses by function data.

Table B.16: General government sector expenses by function

	Sustainable Development Goal Definition	Primary SDG	Secondary SDGs
General public services	**Goal 16**. Promote peaceful and inclusive societies for sustainable development, provide access to justice for all and build effective, accountable and inclusive institutions at all levels		
Public order and safety	**Goal 16**. Promote peaceful and inclusive societies for sustainable development, provide access to justice for all and build effective, accountable and inclusive institutions at all levels		
	Goal 13. Take urgent action to combat climate change and its impacts		
Economic affairs	**Goal 8**. Promote sustained, inclusive and sustainable economic growth, full and productive employment and decent work for all		
	Goal 2. End hunger, achieve food security and improved nutrition and promote sustainable agriculture		
	Goal 9. Build resilient infrastructure, promote inclusive and sustainable industrialisation and foster innovation		
Environmental protection	**Goal 15**. Protect, restore and promote sustainable use of terrestrial ecosystems, sustainably manage forests, combat desertification, and halt and reverse land degradation and halt biodiversity loss		
	Goal 3. Ensure healthy lives and promote well-being for all at all ages		
Housing and community amenities	**Goal 11**. Make cities and human settlements inclusive, safe, resilient and sustainable		
	Goal 6. Ensure availability and sustainable management of water and sanitation for all		

	Sustainable Development Goal Definition	Primary SDG	Secondary SDGs
Health	**Goal 3**. Ensure healthy lives and promote well-being for all at all ages		
Recreation, culture and religion	**Goal 11**. Make cities and human settlements inclusive, safe, resilient and sustainable		
Education	**Goal 4**. Ensure inclusive and equitable quality education and promote lifelong learning opportunities for all		
Social protection	**Goal 10**. Reduce inequality within and among countries		
	Goal 5. Achieve gender equality and empower all women and girls		
	Goal 1. End poverty in all its forms everywhere		
Transport	**Goal 11**. Make cities and human settlements inclusive, safe, resilient and sustainable		
	Goal 9. Build resilient infrastructure, promote inclusive and sustainable industrialisation and foster innovation		

Following a mapping exercise, the information above presents an alignment of the general government sector expenditure using Classification of the Functions of Government — Australia (COFOG-A) codes with the United Nations Sustainable Development Goals (SDGs). The alignment with a primary or secondary SDG does not indicate that all expenditure within the COFOG-A group or division directly aligns to the SDG presented. The alignment against a primary SDG is an alignment of the largest amount of expenditure by function in the COFOG-A division. The alignment against a secondary SDG indicates material expenditure by function in the COFOG-A division.

Whilst noting SDGs are not mutually exclusive, the interlinked nature of an SDG to another has not been considered for this alignment, with the expenditure aligned to the most compatible SDG, as determined qualitatively.

The content of this publication has not been approved by the United Nations and does not reflect the views of the United Nations or its officials. https://sdgs.un.org/goals

Appendix C: General government and non-financial public sector financial statistics time series

The following tables provide historical data on key fiscal aggregates. Data provided (excluding the unfunded superannuation liability) is sourced for 1998-99 from *Australian Bureau of Statistics Government Finance Statistics 2007-08* (catalogue number 5512.0) and for 1999-2000 to 2024-25 from budget outcome publications for South Australia.

Real-growth calculations using Gross State Product (GSP) and Consumer Price Index (CPI) data up to 2024-25 is sourced from the latest Australian Bureau of Statistics (ABS) publications.

As historical data in this time series has not been back-cast to reflect classification and accounting changes, care must be taken in interpreting the data.

General government

Table C.1: General government key operating statement aggregates

	Revenue			Expenses					
	$m	% real growth	% GSP	$m	% real growth	% GSP	Net operating balance $m	Net acquisition of non-financial assets $m	Net lending $m
1998-99	7 290		16.5	7 505		17.0	-215	19	-233
1999-2000	7 644	2.3	16.4	7 974	3.6	17.1	-330	140	-471
2000-01	8 108	3.0	16.3	8 406	2.4	16.9	-297	102	-399
2001-02	8 538	2.1	15.8	8 713	0.5	16.1	-174	-50	-124
2002-03	9 346	5.2	16.3	8 898	-1.8	15.5	448	34	414
2003-04	9 955	3.4	16.5	9 570	4.4	15.8	385	-38	424
2004-05	10 592	3.9	16.8	10 368	5.8	16.4	224	105	119
2005-06	11 242	2.9	16.9	11 040	3.3	16.6	202	119	83
2006-07	11 757	1.9	16.5	11 547	1.9	16.2	209	139	71
2007-08	12 879	6.1	16.7	12 414	4.1	16.1	464	242	222
2008-09	13 531	1.9	16.7	13 764	7.5	17.0	-233	639	-872
2009-10[(a)]	15 534	12.3	18.3	15 347	9.1	18.1	187	1 279	-1 092
2010-11[(a)]	15 017	-6.3	16.5	15 069	-4.9	16.5	-53	1 370	-1 422
2011-12	15 905	3.2	17.1	16 164	4.5	17.3	-258	839	-1 098
2012-13	15 333	-5.5	16.1	16 282	-1.3	17.1	-948	55	-1 003
2013-14	15 343	-2.4	15.8	16 415	-1.7	16.9	-1 071	661	-1 733
2014-15	16 549	6.2	16.7	16 738	0.4	16.9	-189	-78	-111
2015-16	17 362	4.0	17.5	17 062	1.1	17.2	300	204	96
2016-17	18 480	4.8	18.0	18 037	4.1	17.6	443	2 814	-2 371
2017-18	19 344	2.3	18.2	19 657	6.6	18.5	-313	665	-977
2018-19	20 514	4.4	18.7	20 225	1.3	18.4	289	638	-348
2019-20[(b)(c)]	20 332	-2.6	18.3	21 817	6.0	19.6	-1 485	759	-2 244
2020-21[(c)]	21 638	4.9	18.2	22 200	0.3	18.7	-563	1 204	-1 766
2021-22	23 711	5.1	18.3	24 540	6.0	19.0	-829	1 412	-2 242
2022-23	25 408	-0.7	18.0	25 367	-4.2	18.0	41	1 256	-1 215
2023-24	27 933	4.8	18.6	27 520	3.5	18.3	413	1 591	-1 178
2024-25	30 398	6.2	19.3	30 125	6.9	19.1	273	2 049	-1 776
2025-26	31 713	1.3	19.1	31 633	1.9	19.1	80	2 256	-2 176
2026-27	32 545	-0.1	18.8	32 359	-0.4	18.7	187	4 114	-3 927
2027-28	33 174	-0.6	18.3	32 780	-1.2	18.1	394	4 087	-3 692
2028-29	33 824	-0.5	17.9	33 537	-0.2	17.7	287	3 200	-2 912

Note: Totals may not add due to rounding.

(a) In 2009-10 and 2010-11, revenues, expenses and net acquisition of non-financial assets are impacted by the Commonwealth Government's Nation Building — Economic Stimulus Plan.

(b) There is a structural break in 2019-20 reflecting the changes to accounting standards for AASB 15 *Revenue from Contracts with Customers,* AASB 1058 *Income of Not-for-Profit Entities*, and AASB 16 *Leases*. Additional presentation changes have also been applied from 2019-20 to achieve full compliance with UPF. These changes do not have a significant impact on the key budget indicators. They largely relate to certain assets no longer being offset by related liabilities, and certain revenues no longer being offset by related expenses.

(c) In 2019-20 and 2020-21, revenues, expenses, net operating balance and net lending are impacted by the COVID pandemic and COVID stimulus measures.

Table C.2: General government key balance sheet aggregates at 30 June ($million)

	Net debt[a]						
As at 30 June	$m	% of revenue	% of GSP	Unfunded superannuation $m[b]	Net financial liabilities $m	Net financial worth $m	Net worth $m
1988	859						
1989	694						
1990	854						
1991	1 817						
1992	4 610						
1993	7 884						
1994	7 113						
1995	5 815						
1996	5 512						
1997	4 983						
1998	4 762						
1999	4 779	65.6	10.8	3 909	9 733	1 894	10 624
2000	1 920	25.1	4.1	3 543	6 911	2 986	12 445
2001	1 246	15.4	2.5	3 249	6 093	4 091	14 816
2002	1 303	15.3	2.4	3 998	6 907	3 559	14 721
2003	666	7.1	1.2	4 445	6 974	3 500	15 288
2004	224	2.3	0.4	5 668	7 858	3 842	15 760
2005	144	1.4	0.2	7 227	9 393	3 853	16 359
2006	-119	-1.1	-0.2	6 146	8 171	5 846	19 703
2007[c]	-24	-0.2	0.0	5 075	7 254	8 110	22 128
2008[d][e][f]	-276	-2.1	-0.4	6 468	8 078	7 580	23 741
2009	475	3.5	0.6	8 939	11 562	5 551	24 146
2010	1 402	9.0	1.7	9 478	13 182	6 551	36 231
2011	2 930	19.5	3.2	9 096	14 313	7 299	40 958
2012[g]	4 165	26.2	4.5	13 523	20 332	1 413	37 199
2013	5 227	34.1	5.5	11 085	19 079	1 742	39 363
2014[h]	7 071	46.1	7.3	10 877	20 761	1 056	39 654
2015[i]	3 929	23.7	4.0	11 358	18 296	1 374	40 121
2016[j]	4 393	25.3	4.4	14 029	21 372	-2 049	37 741
2017	6 110	33.1	6.0	11 448	21 614	-1 990	42 433
2018	5 447	28.2	5.1	11 288	22 816	-2 920	43 085
2019	6 068	29.6	5.5	13 836	26 298	-5 845	41 576
2020[k][l]	10 537	51.8	9.5	12 474	29 229	-12 494	43 710
2021[l]	13 710	63.4	11.5	9 588	28 456	-11 544	47 006
2022	16 439	69.3	12.7	7 065	28 219	-8 548	52 478
2023[j]	17 711	69.7	12.5	7 518	30 880	-10 315	55 920
2024[e]	19 322	69.2	12.9	6 893	32 628	-10 404	61 639
2025	21 652	71.2	13.7	6 601	34 896	-12 331	66 002
2026	24 530	77.3	14.8	5 833	37 064	-14 233	66 367

As at 30 June	Net debt[a] $m	Net debt[a] % of revenue	Net debt[a] % of GSP	Unfunded superannuation $m[b]	Net financial liabilities $m	Net financial worth $m	Net worth $m
2027	28 769	88.4	16.6	5 306	41 232	-17 784	66 971
2028	33 423	100.8	18.5	4 731	45 118	-21 124	67 759
2029	37 115	109.7	19.6	4 105	48 116	-24 032	68 103

Note: Totals may not add due to rounding.

(a) Net debt data for the years before 1999 are sourced from ABS, *Government Financial Estimates 2003-04* (catalogue number 5501).

(b) There is a structural break in the methodology used to calculate superannuation liabilities between June 2003 and June 2004. This accounting change, which involved the adoption of the Commonwealth Government bond rate for valuation purposes in line with AASB 119 *Employee Benefits*, resulted in a significant increase in superannuation liabilities.

(c) There is a structural break in 2007 reflecting the amalgamation of SAFA and SAICORP on 1 July 2006. The transfer of SAICORP's assets and liabilities from the general government sector to the public financial corporations sector resulted in an increase in general government net debt of $99 million at 1 July 2006 and an increase in net financial liabilities of $90 million at 1 July 2006.

(d) There is a structural break in 2008 reflecting the transfer of rail assets from TransAdelaide to the general government sector. This resulted in an increase in net debt and net financial liabilities of $66 million in 2007-08, and a reduction in net financial worth of $591 million, with no impact on net worth.

(e) There is a structural break in 2008 reflecting the transfer of assets from the Adelaide Festival Centre Trust to the general government sector. This resulted in an increase in net debt and net financial liabilities of $28 million in 2007-08, and a reduction in net financial worth of $76 million, with no impact on net worth. These assets were transferred back from the general government sector to the Adelaide Festival Centre Trust and Renewal SA in 2023-24. This resulted in a decrease in net debt of $141 million, and a reduction in net worth of $195 million for the general government sector.

(f) There is a structural break in 2008 reflecting the first-time recognition on the general government balance sheet of South Australia's share of the net assets of the Murray-Darling Basin Commission. This had no impact on net debt, however resulted in a reduction in net financial liabilities of $615 million in 2007-08, and an increase in net financial worth and net worth of $615 million.

(g) There is a structural break in 2012 reflecting the transfer of the Rail Commissioner to the general government sector. This resulted in a reduction in net debt of $6 million, an increase in net financial liabilities of $37 million, and a reduction in net financial worth of $144 million in 2011-12, with no impact on net worth.

(h) There is a structural break in 2014 reflecting the transfer of the Lotteries Commission of South Australia (SA Lotteries) to the general government sector. This resulted in a reduction in net debt of $46 million, a reduction in net financial liabilities of $1 million, with no impact on net worth.

(i) There is a structural break in 2015 reflecting the government's decision to reduce its equity in SA Water. This resulted in a once-off $2.7 billion return of capital to the Consolidated Account in 2014-15. The restructure resulted in a reduction in distributions paid to government partially offset by increased guarantee fees payable and lower borrowing costs.

(j) There is a structural break in 2016 reflecting the transfer of the South Australian Motor Sport Board to the general government sector. This resulted in an increase in net financial liabilities of $3 million, and a reduction in net financial worth of $12 million in 2015-16, with no impact on net worth. The SA Motor Sport Board recommenced operation in September 2022 as a new public non-financial corporation under the *South Australian Motor Sport Act 1984* to promote motorsport in South Australia including responsibility for holding the Adelaide 500 event each year from 2022.

(k) There is a structural break in 2020 reflecting the changes to accounting standards for AASB 15 *Revenue from Contracts with Customers*, AASB 1058 *Income of Not-for-Profit Entities*, and AASB 16 *Leases*. Additional presentation changes have also been applied from 2019-20 to achieve full compliance with UPF. These changes do not have a significant impact on the key budget indicators. They largely relate to certain assets no longer being offset by related liabilities, and certain revenues no longer being offset by related expenses.

(l) In 2019-20 and 2020-21, net debt, net financial liabilities, net financial worth and net worth are impacted by the COVID pandemic and COVID stimulus measures.

Table C.3: General government sector receipts, payments and surplus ($million)[(a)]

	Receipts	Payments	Cash surplus
1979-80	1 891	1 671	220
1980-81	2 065	1 917	148
1981-82	2 210	2 122	87
1982-83	2 664	2 507	156
1983-84	2 988	2 734	255
1984-85	3 380	3 057	324
1985-86	3 634	3 161	474
1986-87	3 956	3 416	540
1987-88	4 307	3 858	449
1988-89	4 630	3 977	653
1989-90	4 973	4 370	603
1990-91	5 260	4 796	463
1991-92	5 387	5 396	-10
1992-93	5 967	5 456	512
1993-94	6 087	6 024	63
1994-95	6 155	6 220	-66
1995-96	6 405	6 164	241
1996-97	6 379	6 282	97
1997-98	6 988	6 724	264
1998-99	7 165	7 041	123
1999-2000	7 676	7 915	-239
2000-01	8 278	8 387	-108
2001-02	8 698	8 748	-50
2002-03	9 522	8 864	658
2003-04	10 023	9 502	522
2004-05	11 252	11 059	193
2005-06	11 480	11 293	187
2006-07	12 090	12 116	-26
2007-08	12 932	12 552	379
2008-09	13 579	14 299	-721
2009-10	15 837	16 991	-1 154
2010-11	15 331	16 851	-1 520
2011-12	16 556	17 594	-1 038
2012-13	16 489	17 655	-1 166
2013-14	15 434	17 232	-1 797
2014-15	16 768	16 652	116
2015-16	17 144	17 357	-213
2016-17	19 338	21 566	-2 228
2017-18	21 384	20 682	702
2018-19[(b)]	20 570	20 919	-348
2019-20[(c)]	20 256	22 843	-2 586
2020-21	20 693	23 402	-2 709

	Receipts	Payments	Cash surplus
2021-22	24 060	26 326	-2 265
2022-23	25 790	26 544	-754
2023-24	28 449	29 245	-796
2024-25	30 494	32 376	-1 881
2025-26	31 911	34 175	-2 264
2026-27	32 789	36 114	-3 325
2027-28	32 982	36 791	-3 808
2028-29	33 782	37 194	-3 412

Note: Totals may not add due to rounding.

(a) There is a break in the series between 1998-99 and 1999-2000. Data for the years before 1999-2000 are sourced from the ABS and are consistent with ABS GFS reporting requirements on a cash basis. Capital receipts and payments, including payments associated with the provision of financial support for state owned financial institutions (which were treated by the ABS then as an 'investment in financial assets for policy purposes') are not included in the series before 1999-2000. After 1998-99, data is derived from an accrual ABS GFS reporting framework, with receipts proxied by receipts from operating activities and sales of non-financial assets, and payments proxied by payments for operating activities, purchases of non-financial assets and net acquisition of assets under finance leases and similar arrangements. Due to the associated methodological and data-source changes, time series data that encompass measures derived under both cash and accrual accounting should be used with caution.

(b) There is a structural break in 2018-19 reflecting the derivation of cash surplus. The ABS GFS cash surplus definition has been updated in 2018-19 to align with the previous cash surplus definition under the 2008 UPF to no longer include finance leases.

(c) There is a structural break in 2019-20 reflecting the changes to accounting standards for AASB 15 *Revenue from Contracts with Customers*, AASB 1058 *Income of Not-for-Profit Entities*, and AASB 16 *Leases*. Additional presentation changes have also been applied from 2019-20 to achieve full compliance with UPF. These changes do not have a significant impact on the key budget indicators. They largely relate to certain assets no longer being offset by related liabilities, and certain revenues no longer being offset by related expenses.

Table C.4: General government sector operating statement ($million)[(a)(b)]

	2019-20	2020-21	2021-22	2022-23	2023-24	2024-25	2025-26	2026-27	2027-28	2028-29
Revenue										
Taxation revenue	4 478	4 865	5 513	5 866	6 575	7 121	7 373	7 639	7 914	8 199
Grants	11 342	12 150	13 407	14 323	15 445	17 021	17 982	18 552	18 832	19 076
Sales of goods and services	2 605	2 804	2 991	3 062	3 390	3 707	3 691	3 781	3 894	4 001
Interest income	87	37	25	341	480	482	434	419	422	429
Dividend and income tax equivalent income	386	250	207	214	435	372	400	343	287	270
Other	1 433	1 533	1 568	1 602	1 610	1 694	1 834	1 811	1 824	1 851
Total revenue	**20 332**	**21 638**	**23 711**	**25 408**	**27 933**	**30 398**	**31 713**	**32 545**	**33 174**	**33 824**
less **Expenses**										
Employee expenses	8 756	8 989	9 405	9 735	10 201	10 911	11 450	11 710	12 041	12 411
Superannuation expenses										
Superannuation interest cost	231	183	188	269	306	297	271	245	221	195
Other superannuation expenses	844	858	921	1 016	1 119	1 237	1 368	1 396	1 434	1 476
Depreciation and amortisation	1 379	1 414	1 447	1 516	1 586	1 708	1 775	1 859	1 917	1 986
Interest expenses	464	442	505	975	1 225	1 381	1 590	1 848	2 100	2 408
Other property expenses	—	—	—	—	—	—	—	—	—	—
Other operating expenses	6 760	7 303	8 256	8 496	9 227	10 164	10 487	10 799	10 647	10 662
Grants	3 382	3 011	3 818	3 361	3 857	4 427	4 692	4 502	4 419	4 398
Total expenses	**21 817**	**22 200**	**24 540**	**25 367**	**27 520**	**30 125**	**31 633**	**32 359**	**32 780**	**33 537**
equals **Net operating balance**	**-1 485**	**-563**	**-829**	**41**	**413**	**273**	**80**	**187**	**394**	**287**
plus **Other economic flows[(b)]**	**4 536**	**3 858**	**6 128**	**3 402**	**5 454**	**4 036**	**285**	**417**	**394**	**56**
equals **Comprehensive result — total change in net worth[(c)(d)]**	**3 051**	**3 296**	**5 299**	**3 443**	**5 867**	**4 309**	**365**	**604**	**788**	**344**

	2019-20	2020-21	2021-22	2022-23	2023-24	2024-25	2025-26	2026-27	2027-28	2028-29
Net operating balance	**-1 485**	**-563**	**-829**	**41**	**413**	**273**	**80**	**187**	**394**	**287**
less **Net acquisition of non-financial assets**										
Purchases of non-financial assets	2 460	2 821	2 981	2 861	3 525	3 924	4 430	6 043	6 094	5 417
less Sales of non-financial assets	324	200	124	90	340	168	398	69	91	231
less Depreciation	1 379	1 414	1 447	1 516	1 586	1 708	1 775	1 859	1 917	1 986
plus Change in inventories	3	-4	2	—	-9	1	—	—	—	—
plus Other movements in non-financial assets	—	—	—	—	—	—	—	—	—	—
equals **Total net acquisition of non-financial assets**	**759**	**1 204**	**1 412**	**1 256**	**1 591**	**2 049**	**2 256**	**4 114**	**4 087**	**3 200**
equals **Net lending/borrowing**	**-2 244**	**-1 766**	**-2 242**	**-1 215**	**-1 178**	**-1 776**	**-2 176**	**-3 927**	**-3 692**	**-2 912**

Note: Totals may not add due to rounding.

(a) There is a structural break in 2019-20 reflecting the changes to accounting standards for AASB 15 *Revenue from Contracts with Customers*, AASB 1058 *Income of Not-for-Profit Entities*, and AASB 16 *Leases*. Additional presentation changes have also been applied from 2019-20 to achieve full compliance with UPF.

(b) In 2019-20 and 2020-21, revenues, expenses, net operating balance and net lending are impacted by the COVID pandemic and COVID stimulus measures.

(c) The government has adopted the full retrospective transition approach under AASB 1059 *Service Concession Arrangements: Grantors* by recognising and measuring service concession assets at the date of initial application of 1 July 2019. The only impact at that date was to recognise the service concession data asset of $283.6 million, with a corresponding adjustment recognised in the revaluation reserve.

(d) Comprehensive result excludes transactions with owners in their capacity as owners.

Table C.5: General government sector balance sheet at 30 June ($million)[a][b]

	As at 30 June									
	2020	**2021**	**2022**	**2023**	**2024**	**2025**	**2026**	**2027**	**2028**	**2029**
Assets										
Financial assets										
Cash and deposits	10 328	11 171	10 979	10 987	11 152	11 875	12 653	13 289	13 379	13 929
Advances paid	150	145	107	132	142	114	185	217	276	305
Investments, loans and placements	555	643	667	701	668	1 064	1 063	1 060	1 055	1 048
Receivables	2 402	3 022	2 977	2 348	2 130	2 294	2 419	2 586	2 754	2 918
Equity										
Investments in other public sector entities	16 735	16 912	19 671	20 565	22 224	22 566	22 832	23 448	23 994	24 084
Investments — other	86	90	103	108	116	131	131	131	131	131
Other financial assets	—	—	—	—	—	—	—	—	—	—
Total financial assets	**30 257**	**31 984**	**34 503**	**34 840**	**36 432**	**38 044**	**39 282**	**40 730**	**41 589**	**42 413**
Non-financial assets										
Land and other fixed assets[c]	56 037	58 384	60 868	66 102	71 898	78 040	80 340	84 496	88 624	91 866
Other non-financial assets	167	166	158	134	145	292	260	259	259	269
Total non-financial assets	**56 204**	**58 550**	**61 026**	**66 235**	**72 043**	**78 332**	**80 600**	**84 755**	**88 883**	**92 135**
Total assets	**86 461**	**90 533**	**95 529**	**101 075**	**108 475**	**116 376**	**119 882**	**125 485**	**130 472**	**134 548**
Liabilities										
Deposits held	345	286	541	529	342	332	309	313	441	482
Advances received	—	—	—	—	—	—	—	—	—	—
Borrowing	21 225	25 384	27 651	29 002	30 943	34 374	38 122	43 022	47 691	51 914
Superannuation	12 474	9 588	7 065	7 518	6 893	6 601	5 833	5 306	4 731	4 105

	As at 30 June									
	2020	**2021**	**2022**	**2023**	**2024**	**2025**	**2026**	**2027**	**2028**	**2029**
Other employee benefits	3 336	3 295	2 965	2 983	3 512	3 778	3 894	4 058	4 011	4 109
Payables[(d)]	1 284	1 596	1 562	1 592	1 542	1 624	1 620	1 624	1 632	1 637
Other liabilities[(d)]	4 086	3 379	3 267	3 531	3 604	3 665	3 737	4 191	4 206	4 199
Total liabilities	**42 751**	**43 528**	**43 051**	**45 155**	**46 836**	**50 375**	**53 515**	**58 515**	**62 713**	**66 445**
Net worth	**43 710**	**47 006**	**52 478**	**55 920**	**61 639**	**66 002**	**66 367**	**66 971**	**67 759**	**68 103**
Net financial worth	-12 494	-11 544	-8 548	-10 315	-10 404	-12 331	-14 233	-17 784	-21 124	-24 032
Net financial liabilities	29 229	28 456	28 219	30 880	32 628	34 896	37 064	41 232	45 118	48 116
Net debt	10 537	13 710	16 439	17 711	19 322	21 652	24 530	28 769	33 423	37 115

Note: Totals may not add due to rounding.

(a) There is a structural break in 2020 reflecting the changes to accounting standards for AASB 15 *Revenue from Contracts with Customers*, AASB 1058 *Income of Not-for-Profit Entities*, and AASB 16 *Leases*. Additional presentation changes have also been applied from 2019-20 to achieve full compliance with UPF. These changes do not have a significant impact on the key budget indicators. They largely relate to certain assets no longer being offset by related liabilities, and certain revenues no longer being offset by related expenses.

(b) In 2019-20 and 2020-21 net debt, net financial liabilities, net financial worth and net worth are impacted by the COVID pandemic and COVID stimulus measures.

(c) The government has adopted the full retrospective transition approach under AASB 1059 *Service Concession Arrangements: Grantors* by recognising and measuring service concession assets at the date of initial application of 1 July 2019. The only impact at that date was to recognise the service concession data asset of $283.6 million, with a corresponding adjustment recognised in the revaluation reserve.

(d) Adjustments have been made to align classification of payables and other liabilities with data presented for 2021.

Non-financial public sector

Table C.6: Non-financial public sector key operating statement aggregates

	Revenue			Expenses			Net operating balance	Net acquisition of non-financial assets	Net lending
	$m	% real growth	% GSP	$m	% real growth	% GSP	$m	$m	$m
1998-99	9 468		21.4	9 597		21.7	-129	-115	-14
1999-2000	9 206	-5.2	19.8	9 552	-2.9	20.5	-346	-3 508	3 161
2000-01	9 051	-4.5	18.2	9 279	-5.7	18.7	-228	-1 111	883
2001-02	9 367	0.3	17.3	9 487	-0.9	17.6	-120	-124	5
2002-03	10 172	4.4	17.7	9 696	-1.7	16.9	476	72	405
2003-04	10 707	2.2	17.7	10 294	3.1	17.0	413	33	379
2004-05	11 343	3.5	18.0	11 029	4.6	17.5	314	125	189
2005-06	11 807	0.9	17.7	11 634	2.3	17.5	172	53	119
2006-07	12 321	1.7	17.3	12 175	2.0	17.1	147	173	-26
2007-08	13 634	7.1	17.7	13 065	3.9	17.0	569	303	266
2008-09	14 360	2.1	17.7	14 567	8.1	18.0	-207	1 249	-1 456
2009-10[a]	16 315	11.2	19.2	15 679	5.3	18.5	636	2 361	-1 725
2010-11[a]	15 960	-5.2	17.5	15 939	-1.5	17.5	21	1 920	-1 898
2011-12	16 866	3.0	18.1	16 908	3.3	18.1	-41	1 383	-1 424
2012-13	16 494	-4.1	17.4	17 152	-0.6	18.0	-657	64	-721
2013-14	16 399	-3.1	16.9	17 627	0.2	18.1	-1 229	715	-1 944
2014-15	17 651	6.0	17.9	17 965	0.4	18.2	-314	-198	- 116
2015-16	18 461	3.7	18.6	18 310	1.0	18.4	151	205	-54
2016-17	19 447	3.8	19.0	19 228	3.4	18.7	219	3 359	-3 140
2017-18	20 384	2.5	19.2	20 768	5.6	19.6	-384	728	-1 112
2018-19	21 633	4.5	19.7	21 062	-0.1	19.2	571	830	- 259
2019-20[b][c]	21 373	-2.9	19.2	23 322	8.8	21.0	-1 949	557	-2 506
2020-21[c]	22 759	4.9	19.1	23 691	0.1	19.9	-932	1 414	-2 346
2021-22	25 019	5.5	19.3	26 152	5.9	20.2	-1 132	1 374	-2 506
2022-23	26 627	-1.4	18.8	26 936	-4.6	19.1	-309	1 471	-1 781
2023-24	29 269	4.8	19.5	29 153	3.2	19.4	116	2 417	-2 301
2024-25	31 908	6.4	20.2	31 915	6.9	20.2	-7	2 857	-2 864
2025-26	33 362	1.5	20.1	33 736	2.6	20.3	-374	3 239	-3 613
2026-27	34 424	0.4	19.9	34 296	-1.1	19.8	127	5 374	-5 246
2027-28	35 318	0.1	19.5	35 019	-0.4	19.3	299	4 224	-3 925
2028-29	35 638	-1.6	18.8	35 753	-0.4	18.9	-115	3 654	-3 769

Note: Totals may not add due to rounding.

(a) In 2009-10 and 2010-11, revenues, expenses and net acquisition of non-financial assets are impacted by the Commonwealth Government's Nation Building — Economic Stimulus Plan.

(b) There is a structural break in 2019-20 reflecting the changes to accounting standards for AASB 15 *Revenue from Contracts with Customers*, AASB 1058 *Income of Not-for-Profit Entities*, and AASB 16 *Leases*. Additional presentation changes have also been applied from 2019-20 to achieve full compliance with UPF. These changes do not have a significant impact on the key budget indicators. They largely relate to certain assets no longer being offset by related liabilities, and certain revenues no longer being offset by related expenses.

(c) In 2019-20 and 2020-21, revenues, expenses, net operating balance and net lending are impacted by the COVID pandemic and COVID stimulus measures.

Table C.7: Non-financial public sector key balance sheet aggregates at 30 June ($million)

	Net debt[a]						
As at 30 June	$m	% of revenue	% of GSP	Unfunded superannuation $m[b]	Net financial liabilities $m	Net financial worth $m	Net worth $m
1988	4 397						
1989	4 197						
1990	4 457						
1991	5 418						
1992	8 142						
1993	11 610						
1994	10 550						
1995	8 844						
1996	8 432						
1997	8 170						
1998	7 927						
1999	7 657	80.9	17.3	3 909	13 099	-12 256	10 624
2000	4 355	47.3	9.4	3 543	9 914	-8 986	12 445
2001	3 223	35.6	6.5	3 249	8 151	-7 109	14 816
2002	3 317	35.4	6.1	3 998	8 973	-7 902	14 721
2003	2 696	26.5	4.7	4 445	9 096	-8 811	15 288
2004	2 285	21.3	3.8	5 668	10 031	-9 550	15 760
2005	2 126	18.7	3.4	7 227	11 511	-11 004	16 359
2006	1 786	15.1	2.7	6 146	10 451	-9 889	19 703
2007[c]	1 989	16.1	2.8	5 075	9 518	-8 795	22 128
2008[d][e]	1 611	11.8	2.1	6 468	10 208	-10 487	23 741
2009	2 872	20.0	3.6	8 939	14 302	-14 921	24 146
2010	4 487	27.5	5.3	9 478	16 626	-16 997	36 231
2011	6 541	41.0	7.2	9 096	18 273	-18 402	40 958
2012	7 996	47.4	8.6	13 523	24 500	-25 123	37 199
2013	8 949	54.3	9.4	11 085	23 064	-23 223	39 363
2014	10 964	66.9	11.3	10 877	24 811	-24 080	39 654
2015	10 676	60.5	10.8	11 358	25 167	-23 750	40 121
2016	10 912	59.1	11.0	14 029	28 281	-27 355	37 741
2017	13 529	69.6	13.2	11 448	29 200	-28 042	42 433
2018	12 950	63.5	12.2	11 288	30 564	-29 523	43 085
2019	13 084	60.5	11.9	13 836	33 744	-32 930	41 576
2020[f][g]	17 452	81.7	15.7	12 474	37 828	-38 599	43 710
2021[g]	21 169	93.0	17.8	9 588	37 496	-38 394	47 006
2022	23 948	95.7	18.5	7 065	37 134	-35 060	52 478
2023	25 595	96.1	18.1	7 518	39 590	-37 365	55 920
2024	27 920	95.4	18.6	6 893	41 792	-39 389	61 639
2025	30 868	96.7	19.6	6 601	44 825	-43 796	66 002
2026	34 745	104.1	21.0	5 833	48 099	-47 079	66 342
2027	39 903	115.9	23.0	5 306	53 350	-52 322	66 866

As at 30 June	Net debt[a] $m	Net debt[a] % of revenue	Net debt[a] % of GSP	Unfunded superannuation $m[b]	Net financial liabilities $m	Net financial worth $m	Net worth $m
2028	44 435	125.8	24.5	4 731	57 278	-56 243	67 578
2029	48 728	136.7	25.8	4 105	61 039	-60 005	67 888

Note: Totals may not add due to rounding.

(a) Net debt data for the years before 1999 is sourced from ABS, *Government Financial Estimates 2003-04* (catalogue number 5501).

(b) There is a structural break in the methodology used to calculate superannuation liabilities between June 2003 and June 2004. This accounting change, which involved the adoption of the Commonwealth Government bond rate for valuation purposes in line with AASB 119 *Employee Benefits*, resulted in a significant increase in superannuation liabilities.

(c) There is a structural break in 2007 reflecting the amalgamation of SAFA and SAicorp on 1 July 2006. The transfer of SAicorp's assets and liabilities from the general government sector to the public financial corporations sector resulted in an increase in non-financial public sector net debt of $99 million at 1 July 2006 and an increase in net financial liabilities of $90 million at 1 July 2006.

(d) There is a structural break in 2008 reflecting the amalgamation of the public financial corporation, South Australian Community Housing Authority with the public-non financial corporation South Australian Housing Authority. This resulted in an increase in net debt and net financial liabilities and a decrease in net financial worth of $98 million in 2007-08, with no impact on net worth.

(e) There is a structural break in 2008 reflecting the first time recognition on the general government balance sheet of South Australia's share of the net assets of the Murray-Darling Basin Commission. This had no impact on net debt, however resulted in a reduction in net financial liabilities of $615 million in 2007-08 and increases in net financial worth and net worth of $615 million.

(f) There is a structural break in 2020 reflecting the changes to accounting standards for AASB 15 *Revenue from Contracts with Customers*, AASB 1058 *Income of Not-for-Profit Entities*, and AASB 16 *Leases*. Additional presentation changes have also been applied from 2019-20 to achieve full compliance with UPF. These changes do not have a significant impact on the key budget indicators. They largely relate to certain assets no longer being offset by related liabilities, and certain revenues no longer being offset by related expenses.

(g) In 2019-20 and 2020-21, net debt, net financial liabilities, net financial worth and net worth are impacted by the COVID pandemic and COVID stimulus measures.

Table C.8: Non-financial public sector receipts, payments and surplus ($million)[(a)]

	Receipts	Payments	Cash surplus
1979-80	2 681	2 388	292
1980-81	2 877	2 649	228
1981-82	3 145	2 963	182
1982-83	3 651	3 356	295
1983-84	4 383	4 014	369
1984-85	4 887	4 356	531
1985-86	5 172	4 415	757
1986-87	5 542	4 790	752
1987-88	6 078	5 299	780
1988-89	6 946	5 784	1 162
1989-90	7 517	6 465	1 052
1990-91	7 830	6 839	991
1991-92	8 352	7 969	383
1992-93	8 939	7 946	993
1993-94	8 761	8 119	642
1994-95	8 570	8 142	428
1995-96	8 985	8 654	331
1996-97	8 908	8 532	375
1997-98	9 426	8 895	532
1998-99	9 301	8 692	609
1999-2000	13 014	9 501	3 513
2000-01	10 572	9 414	1 158
2001-02	9 726	9 722	4
2002-03	10 439	9 805	634
2003-04	10 891	10 403	488
2004-05	12 051	11 786	265
2005-06	12 239	11 868	370
2006-07	12 684	12 809	-125
2007-08	13 943	13 477	466
2008-09	14 563	15 806	-1 243
2009-10	16 847	18 695	-1 849
2010-11	16 548	18 553	-2 004
2011-12	17 431	18 863	-1 432
2012-13	17 814	19 133	-1 319
2013-14	16 640	18 647	-2 007
2014-15	17 841	17 896	-55
2015-16	18 485	18 623	-138
2016-17	19 593	22 779	-3 186
2017-18	22 532	21 904	629
2018-19[(b)]	21 860	21 888	-28
2019-20[(c)]	20 969	24 044	-3 074
2020-21	21 558	24 967	-3 409

	Receipts	Payments	Cash surplus
2021-22	25 438	28 056	-2 618
2022-23	27 117	28 370	-1 254
2023-24	29 554	31 427	-1 873
2024-25	31 941	34 742	-2 801
2025-26	33 807	37 515	-3 707
2026-27	34 742	39 334	-4 593
2027-28	35 298	39 287	-3 989
2028-29	35 826	40 042	-4 216

Note: Totals may not add due to rounding.

(a) There is a break in the series between 1998-99 and 1999-2000. Data for the years before 1999-2000 is sourced from the ABS and is consistent with ABS GFS reporting requirements on a cash basis. Capital receipts and payments, including payments associated with the provision of financial support for state owned financial institutions, which were treated by the ABS then as an 'investment in financial assets for policy purposes', are not included in the series before 1999-2000. After 1998-99, data is derived from an accrual ABS GFS reporting framework, with receipts proxied by receipts from operating activities and sales of non-financial assets, and payments proxied by payments for operating activities, purchases of non-financial assets and net acquisition of assets under finance leases and similar arrangements. Due to the associated methodological and data-source changes, time series data that encompass measures derived under both cash and accrual accounting should be used with caution.

(b) There is a structural break in 2018-19 reflecting the derivation of cash surplus. The ABS GFS cash surplus definition has been updated in 2018-19 to align with the previous cash surplus definition under the 2008 UPF to no longer include finance leases.

(c) There is a structural break in 2019-20 reflecting the changes to accounting standards for AASB 15 *Revenue from Contracts with Customers*, AASB 1058 *Income of Not-for-Profit Entities*, and AASB 16 *Leases*. Additional presentation changes have also been applied from 2019-20 to achieve full compliance with UPF. These changes do not have a significant impact on the key budget indicators. They largely relate to certain assets no longer being offset by related liabilities, and certain revenues no longer being offset by related expenses.

Table C.9: Non-financial public sector operating statement ($million)[a][b]

	2019-20	2020-21	2021-22	2022-23	2023-24	2024-25	2025-26	2026-27	2027-28	2028-29
Revenue										
Taxation revenue	4 208	4 680	5 321	5 654	6 326	6 833	7 080	7 337	7 606	7 882
Grants	11 344	12 154	13 409	14 330	15 446	17 022	17 986	18 536	18 819	19 081
Sales of goods and services	4 174	4 132	4 448	4 537	5 105	5 567	5 620	5 857	6 178	6 063
Interest income	88	32	28	355	494	499	452	436	438	443
Dividend and income tax equivalent income	60	125	144	58	173	143	92	94	93	90
Other	1 498	1 637	1 670	1 693	1 726	1 844	2 131	2 163	2 184	2 079
Total revenue	**21 373**	**22 759**	**25 019**	**26 627**	**29 269**	**31 908**	**33 362**	**34 424**	**35 318**	**35 638**
less **Expenses**										
Employee expenses	9 022	9 249	9 673	10 021	10 512	11 251	11 774	12 034	12 372	12 748
Superannuation expenses										
Superannuation interest cost	231	183	188	269	306	297	271	245	221	195
Other superannuation expenses	879	887	954	1 051	1 159	1 298	1 414	1 443	1 482	1 525
Depreciation and amortisation	1 881	1 921	1 964	2 046	2 085	2 213	2 337	2 430	2 488	2 608
Interest expenses	712	665	707	1 188	1 455	1 674	1 934	2 259	2 568	2 906
Other property expenses	—	—	—	—	—	—	—	—	—	—
Other operating expenses	7 404	7 948	9 029	9 263	10 085	11 169	11 692	11 949	11 961	11 750
Grants	3 193	2 837	3 637	3 098	3 551	4 013	4 314	3 938	3 928	4 020
Total expenses	**23 322**	**23 691**	**26 152**	**26 936**	**29 153**	**31 915**	**33 736**	**34 296**	**35 019**	**35 753**
equals **Net operating balance**	**-1 949**	**-932**	**-1 132**	**-309**	**116**	**-7**	**-374**	**127**	**299**	**-115**
plus **Other economic flows[c]**	**5 000**	**4 228**	**6 431**	**3 752**	**5 752**	**4 315**	**715**	**396**	**414**	**424**
equals **Comprehensive result — total change in net worth[c][d]**	**3 051**	**3 296**	**5 299**	**3 443**	**5 867**	**4 309**	**340**	**524**	**713**	**309**
Net operating balance	**-1 949**	**-932**	**-1 132**	**-309**	**116**	**-7**	**-374**	**127**	**299**	**-115**

	2019-20	2020-21	2021-22	2022-23	2023-24	2024-25	2025-26	2026-27	2027-28	2028-29
less **Net acquisition of non-financial assets**										
Purchases of non-financial assets	2 619	3 498	3 602	3 607	4 532	5 183	6 237	7 965	7 281	6 747
less Sales of non-financial assets	132	255	196	222	173	210	712	148	267	448
less Depreciation	1 881	1 921	1 964	2 046	2 085	2 213	2 337	2 430	2 488	2 608
plus Change in inventories	-49	92	-68	132	143	97	50	-14	-303	-38
plus Other movements in non-financial assets	—	—	—	—	—	—	—	—	—	—
equals **Total net acquisition of non-financial assets**	**557**	**1 414**	**1 374**	**1 471**	**2 417**	**2 857**	**3 239**	**5 374**	**4 224**	**3 654**
equals **Net lending/borrowing**	**-2 506**	**-2 346**	**-2 506**	**-1 781**	**-2 301**	**-2 864**	**-3 613**	**-5 246**	**-3 925**	**-3 769**

Note: Totals may not add due to rounding.

(a) There is a structural break in 2019-20 reflecting the changes to accounting standards for AASB 15 *Revenue from Contracts with Customers*, AASB 1058 *Income of Not-for-Profit Entities*, and AASB 16 *Leases*. Additional presentation changes have also been applied from 2019-20 to achieve full compliance with UPF. These changes do not have a significant impact on the key budget indicators. They largely relate to certain assets no longer being offset by related liabilities, and certain revenues no longer being offset by related expenses.

(b) In 2019-20 and 2020-21, revenues, expenses, net operating balance and net lending are impacted by the COVID pandemic and COVID stimulus measures.

(c) The government has adopted the full retrospective transition approach under AASB 1059 *Service Concession Arrangements: Grantors* by recognising and measuring service concession assets at the date of initial application of 1 July 2019. The only impact at that date was to recognise the service concession data asset of $283.6 million, with a corresponding adjustment recognised in the revaluation reserve.

(d) Comprehensive result excludes transactions with owners in their capacity as owners.

Table C.10: Non-financial public sector balance sheet at 30 June ($million)[(a)][(b)]

	As at 30 June									
	2020	**2021**	**2022**	**2023**	**2024**	**2025**	**2026**	**2027**	**2028**	**2029**
Assets										
Financial assets										
Cash and deposits	11 172	11 691	11 320	11 168	11 267	11 982	12 763	13 408	13 509	14 070
Advances paid	117	112	107	146	163	134	205	236	295	324
Investments, loans and placements	485	514	551	591	577	987	997	1 005	1 015	1 024
Receivables	1 045	1 782	1 863	1 818	1 931	2 076	2 107	2 120	2 135	2 146
Equity										
Investments in other public sector entities	-771	-898	2 074	2 225	2 402	1 029	1 020	1 028	1 034	1 034
Investments — other	97	102	113	119	127	142	142	142	142	142
Other financial assets	4	2	—	—	—	—	—	—	—	—
Total financial assets	**12 150**	**13 305**	**16 028**	**16 067**	**16 467**	**16 350**	**17 234**	**17 940**	**18 131**	**18 740**
Non-financial assets										
Land and fixed assets[(c)]	82 126	85 225	87 362	93 134	100 853	109 473	113 134	118 907	123 548	127 614
Other non-financial assets	183	175	176	152	176	325	287	281	274	279
Total non-financial assets	**82 308**	**85 400**	**87 538**	**93 286**	**101 029**	**109 798**	**113 421**	**119 187**	**123 822**	**127 893**
Total assets	**94 458**	**98 705**	**103 565**	**109 353**	**117 496**	**126 148**	**130 656**	**137 127**	**141 953**	**146 633**
Liabilities										
Deposits held	190	134	196	195	187	159	159	160	160	161
Advances received	—	—	—	—	—	—	—	—	—	—
Borrowing	29 037	33 352	35 730	37 306	39 741	43 811	48 550	54 393	59 095	63 986
Superannuation	12 474	9 588	7 065	7 518	6 893	6 601	5 833	5 306	4 731	4 105
Other employee benefits	3 437	3 390	3 053	3 067	3 608	3 884	4 004	4 174	4 132	4 235

	As at 30 June									
	2020	**2021**	**2022**	**2023**	**2024**	**2025**	**2026**	**2027**	**2028**	**2029**
Payables[(d)]	1 486	1 874	1 826	1 848	1 878	2 055	2 054	2 056	2 062	2 064
Other liabilities[(d)]	4 124	3 360	3 218	3 499	3 550	3 636	3 712	4 173	4 194	4 194
Total liabilities	**50 748**	**51 699**	**51 087**	**53 433**	**55 857**	**60 146**	**64 313**	**70 262**	**74 374**	**78 745**
Net worth	**43 710**	**47 006**	**52 478**	**55 920**	**61 639**	**66 002**	**66 342**	**66 866**	**67 578**	**67 888**
Net financial worth	-38 599	-38 394	-35 060	-37 365	-39 389	-43 796	-47 079	-52 322	-56 243	-60 005
Net financial liabilities	37 828	37 496	37 134	39 590	41 792	44 825	48 099	53 350	57 278	61 039
Net debt	17 452	21 169	23 948	25 595	27 920	30 868	34 745	39 903	44 435	48 728

Note: Totals may not add due to rounding.

(a) There is a structural break in 2020 reflecting the changes to accounting standards for AASB 15 *Revenue from Contracts with Customers*, AASB 1058 *Income of Not-for-Profit Entities*, and AASB 16 *Leases*. Additional presentation changes have also been applied from 2019-20 to achieve full compliance with UPF. These changes do not have a significant impact on the key budget indicators. They largely relate to certain assets no longer being offset by related liabilities, and certain revenues no longer being offset by related expenses.

(b) In 2019-20 and 2020-21, net debt, net financial liabilities, net financial worth and net worth are impacted by the COVID pandemic and COVID stimulus measures.

(c) The government has adopted the full retrospective transition approach under AASB 1059 *Service Concession Arrangements: Grantors* by recognising and measuring service concession assets at the date of initial application of 1 July 2019. The only impact at that date was to recognise the service concession data asset of $283.6 million, with a corresponding adjustment recognised in the revaluation reserve.

(d) Adjustments have been made to align classification of payables and other liabilities with data presented for 2021.

STATE BUDGET
2025-26

DEPARTMENT OF TREASURY AND FINANCE

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